

UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF CALIFORNIA
SAN JOSE DIVISION

IN RE: HIGH-TECH EMPLOYEE) C-11-02509 LHK
ANTITRUST LITIGATION,)
) SAN JOSE, CALIFORNIA
)
) JUNE 19, 2014
)
THIS DOCUMENT RELATES TO:)
ALL ACTIONS) PAGES 1-76
)

TRANSCRIPT OF PROCEEDINGS
BEFORE THE HONORABLE LUCY H. KOH
UNITED STATES DISTRICT JUDGE

A P P E A R A N C E S:

FOR THE PLAINTIFFS: JOSEPH SAVERI LAW FIRM
BY: JOSEPH SAVERI
255 CALIFORNIA STREET, SUITE 450
SAN FRANCISCO, CALIFORNIA 94111

LIEFF, CABRASER,
HEIMANN & BERNSTEIN
BY: KELLY M. DERMODY
BRENDAN P. GLACKIN
DEAN M. HARVEY
275 BATTERY STREET, 30TH FLOOR
SAN FRANCISCO, CALIFORNIA 94111

APPEARANCES CONTINUED ON NEXT PAGE

OFFICIAL COURT REPORTER: LEE-ANNE SHORTRIDGE, CSR, CRR
CERTIFICATE NUMBER 9595

PROCEEDINGS RECORDED BY MECHANICAL STENOGRAPHY
TRANSCRIPT PRODUCED WITH COMPUTER

UNITED STATES COURT REPORTERS

SAN JOSE, CALIFORNIA JUNE 19, 2014

P R O C E E D I N G S

01:50PM 3 (COURT CONVENED AT 1:50 P.M.)

01:50PM 4 THE CLERK: CALLING CASE NUMBER C-11-02509 LHK, IN

01:50PM 5 RE: HIGH-TECH EMPLOYEE ANTITRUST LITIGATION.

01:50PM 6 MS. DERMODY: GOOD AFTERNOON, YOUR HONOR.

01:50PM 7 KELLY DERMODY FROM LIEFF CABRASER. WITH ME ARE MY PARTNERS,

01:50PM 8 BRENDAN GLACKIN AND DEAN HARVEY.

01:50PM 9 MR. SAVERI: GOOD AFTERNOON, YOUR HONOR.

01:50PM 10 JOSEPH SAVERI.

01:51PM 11 MR. GIRARD: GOOD AFTERNOON. I'M DAN GIRARD

01:51PM 12 APPEARING FOR CLASS REPRESENTATIVE MICHAEL DEVINE.

01:51PM 13 THE COURT: OKAY.

01:51PM 14 MR. VAN NEST: GOOD AFTERNOON, YOUR HONOR.

01:51PM 15 BOB VAN NEST, KEKER & VAN NEST, HERE FOR GOOGLE, AND I'M HERE

01:51PM 16 WITH JUSTINA SESSIONS.

01:51PM 17 THE COURT: OKAY.

01:51PM 18 MR. RILEY: GOOD AFTERNOON, YOUR HONOR. GEORGE RILEY

01:51PM 19 OF O'MELVENY & MYERS. I REPRESENT APPLE. I'M HERE WITH MY

01:51PM 20 COLLEAGUE, CHRISTINA BROWN.

01:51PM 21 MS. KAHN: GOOD AFTERNOON. LIN KAHN FROM JONES DAY

01:51PM 22 ON BEHALF OF ADOBE.

01:51PM 23 MR. PERRY: AND STEVE PERRY FROM MUNGER TOLLES FOR

01:51PM 24 INTEL.

01:51PM 25 THE COURT: OKAY. GOOD AFTERNOON TO EVERYONE AND

UNITED STATES COURT REPORTERS

1 APPEARANCES (CONTINUED)

2 FOR THE PLAINTIFFS: JOSEPH SAVERI LAW FIRM
3 BY: JOSEPH R. SAVERI
4 505 MONTGOMERY STREET, SUITE 625
SAN FRANCISCO, CALIFORNIA 94111

5 FOR DEFENDANT KEKER & VAN NEST
6 GOOGLE: BY: ROBERT A. VAN NEST
7 JUSTINA K. SESSIONS
633 BATTERY STREET
SAN FRANCISCO, CALIFORNIA 94111

8 FOR DEFENDANT O'MELVENY & MYERS
9 APPLE: BY: GEORGE A. RILEY
10 CHRISTINA BROWN
TWO EMBARCADERO CENTER
28TH FLOOR
SAN FRANCISCO, CALIFORNIA 94111

11 FOR DEFENDANTS JONES DAY
12 ADOBE: BY: LIN W. KAHN
13 555 CALIFORNIA STREET, 26TH FLOOR
SAN FRANCISCO, CALIFORNIA 94104

14 FOR DEFENDANT MUNGER, TOLLES & OLSEN
15 INTEL: BY: STEVEN M. PERRY
16 355 SOUTH GRAND AVENUE, 35TH FLOOR
LOS ANGELES, CALIFORNIA 90071

17 FOR MICHAEL DEVINE: GIRARD GIBBS
18 BY: DANIEL C. GIRARD
19 601 CALIFORNIA STREET, 14TH FLOOR
20 SAN FRANCISCO, CALIFORNIA 94108

UNITED STATES COURT REPORTERS

01:51PM 1 WELCOME.

01:51PM 2 HOW MANY OPT OUTS TO THE LITIGATION CLASS WERE --

01:51PM 3 MS. DERMODY: YOUR HONOR, WE CAN GET THAT NUMBER FOR

01:51PM 4 YOU. IT WAS NOT VERY MANY.

01:51PM 5 THE COURT: OKAY. HOW MANY OPT OUTS WERE THERE TO

01:52PM 6 THE LUCASFILM/PIXAR SETTLEMENT?

01:52PM 7 MS. DERMODY: I THINK IT WAS 160, SOMEWHERE IN THERE,

01:52PM 8 155 OR SOMETHING LIKE THAT, YOUR HONOR. IT WAS IN YOUR ORDER.

01:52PM 9 AND THERE WERE NOT THAT MANY MORE THAT WERE JUST

01:52PM 10 LITIGATION. IT WAS DE MINIMIS.

01:52PM 11 THE COURT: OKAY. WHAT ABOUT FOR INTUIT CLASS? ARE

01:52PM 12 THOSE --

01:52PM 13 MS. DERMODY: I MEAN ALL TOGETHER.

01:52PM 14 THE COURT: IF I REMEMBER, THOSE WERE THE SAME.

01:52PM 15 MS. DERMODY: YES.

01:52PM 16 THE COURT: THEY OPTED OUT OF BOTH. BUT DID THEY

01:52PM 17 ALSO OPT OUT OF THE LITIGATION CLASS SIMULTANEOUSLY, OR NOT?

01:52PM 18 MS. DERMODY: THERE WERE SOME THAT DID. IT WAS KIND

01:52PM 19 OF A MIX, DIFFERENT BUCKETS. THERE WERE MOSTLY PEOPLE THAT IF

01:52PM 20 THEY OPTED OUT, THEY OPTED OUT OF THE SETTLEMENTS OF THE PIXAR,

01:52PM 21 LUCAS, AND INTUIT, AND THEN THERE WERE SOME ADDITIONAL ONES

01:52PM 22 THAT OPTED OUT OF THE LITIGATION THAT WAS ONGOING.

01:52PM 23 THE COURT: SO YOU DON'T KNOW THE NUMBER OF THE

01:52PM 24 LITIGATION OPT OUTS AT THIS TIME?

01:52PM 25 MS. DERMODY: ONLY THAT IT WAS RELATIVELY NOT THAT

UNITED STATES COURT REPORTERS

5 01:52PM 1 MANY MORE PEOPLE, YOUR HONOR. IT WAS A SMALL NUMBER OF PEOPLE. 01:52PM 2 MAYBE YOU ALL REMEMBER IT BETTER THAN I DO, BUT IT WAS 01:52PM 3 TOTAL -- 01:52PM 4 THE COURT: DOES ANYBODY KNOW? 01:52PM 5 MS. DERMODY: TOTAL OPT OUTS? IT WAS IN THE LOW 01:53PM 6 HUNDREDS. WE CAN GET THAT RIGHT NOW. 01:53PM 7 THE COURT: IS THAT GOING TO COUNT TOWARDS THE 4 01:53PM 8 PERCENT OPT OUTS? 01:53PM 9 MS. DERMODY: IT'S NOT, YOUR HONOR, NO. THIS WOULD 01:53PM 10 BE 4 PERCENT ON TOP OF WHAT HAS ALREADY BEEN AN OPT OUT NUMBER. 01:53PM 11 AND GIVEN THE -- 01:53PM 12 THE COURT: I GUESS I DON'T UNDERSTAND. 4 PERCENT ON 01:53PM 13 TOP OF IT -- 01:53PM 14 MS. DERMODY: SO THERE ARE SOME PEOPLE THAT ARE NO 01:53PM 15 LONGER IN THE CLASS BECAUSE THEY'VE OPTED OUT. AS THE CASE IS 01:53PM 16 CURRENTLY COMPOSED, THOSE PEOPLE DO NOT EXIST IN THE CASE 01:53PM 17 ANYMORE. 01:53PM 18 THE COURT: UM-HUM. 01:53PM 19 MS. DERMODY: THE PRO RATA REDUCTION THAT YOU SAW, 01:53PM 20 YOUR HONOR, IN THE SETTLEMENT AGREEMENT WOULD ONLY KICK IN IF 01:53PM 21 THEY KNEW 4 PERCENT, SOMETHING IN EXCESS OF 2500 PEOPLE NOW, IN 01:53PM 22 ADDITION, OPTED OUT. 01:53PM 23 SO IT WOULD BE A SIGNIFICANTLY LARGER, EXPONENTIALLY 01:53PM 24 LARGER NUMBER OF PEOPLE THAN OPTED OUT THE FIRST TIME. 01:53PM 25 THE COURT: YOU KNOW, THE SETTLEMENT WITH LUCASFILM, UNITED STATES COURT REPORTERS	7 01:55PM 1 SETTLEMENT? 01:55PM 2 MS. DERMODY: THERE WAS A -- 01:55PM 3 THE COURT: I DON'T HAVE THAT. 01:55PM 4 MS. DERMODY: IT'S IN THE SETTLEMENT AGREEMENT, YOUR 01:55PM 5 HONOR. WE CAN PULL IT UP. 01:55PM 6 THE CONCEPT OF THERE BEING A PRO RATA REDUCTION FOR A 01:55PM 7 CERTAIN NUMBER OF OPT OUTS AND THE CONCEPT OF THERE BEING A 01:55PM 8 TERMINATION POSSIBILITY WITH A CERTAIN NUMBER OF OPT OUTS WAS 01:55PM 9 SOMETHING THAT HAPPENED IN THE PRIOR SETTLEMENT AGREEMENTS. 01:55PM 10 THE COURT: OH, OKAY. CAN I SEE THAT? BECAUSE I'M 01:55PM 11 SORRY, I DON'T RECALL THAT. 01:55PM 12 MS. DERMODY: YES, YOUR HONOR. WE'LL FIND THAT FOR 01:55PM 13 YOU. I'M AFRAID I DON'T HAVE IT IN FRONT OF ME. I DIDN'T 01:56PM 14 BRING THAT WITH ME TODAY. 01:56PM 15 THE COURT: OKAY. 01:56PM 16 MS. DERMODY: BUT WE'LL LOCATE IT. 01:56PM 17 THE COURT: OKAY. 01:56PM 18 MS. DERMODY: AND IF IT WOULD HELP YOUR HONOR -- 01:56PM 19 THE COURT: IS PARVES SYED MOHAMED OBJECTING? I KNOW 01:56PM 20 YOU HAD A FOOTNOTE IN YOUR MOTION THAT YOU DIDN'T THINK THAT HE 01:56PM 21 WAS. WHAT DID YOU BASE THAT ON? 01:56PM 22 MS. DERMODY: A CONVERSATION WITH HIM, YOUR HONOR. 01:56PM 23 AT THE TIME THAT WE -- AFTER WE REVIEWED THAT LETTER, WE SPOKE 01:56PM 24 WITH HIM. IT WAS OUR UNDERSTANDING THAT HE HAD AN INTENT TO 01:56PM 25 WITHDRAW THAT OBJECTION. UNITED STATES COURT REPORTERS
6 01:53PM 1 PIXAR, AND INTUIT DIDN'T HAVE THIS 4 PERCENT REVERTER. WHY -- 01:54PM 2 IN SOME SENSES, LUCASFILM AND PIXAR, AS WELL AS INTUIT, ARE 01:54PM 3 PAYING MORE OF THEIR -- A HIGHER PROPORTION OF THEIR LIABILITY 01:54PM 4 THAN GOOGLE, APPLE, INTEL, AND ADOBE. WHY IS THAT? 01:54PM 5 MS. DERMODY: THERE WAS A PRO RATA REDUCTION THAT 01:54PM 6 WOULD KICK IN THAT WAS SET FORTH IN THOSE OTHER SETTLEMENT 01:54PM 7 AGREEMENTS. IT WAS A -- I THINK IT WAS 10 PERCENT OR SOMETHING 01:54PM 8 IN PIXAR, LUCAS, AND INTUIT. SO THE CONCEPT EXISTED IN THE 01:54PM 9 PRIOR SETTLEMENT AGREEMENTS. 01:54PM 10 HERE WE -- IT JUST WAS DIFFERENT DEFENDANTS, DIFFERENT 01:54PM 11 NEGOTIATIONS, DIFFERENT TERMS THAT WERE BEING DISCUSSED. 01:54PM 12 AND SO WE HAD THE SAME CONCEPT, THAT THERE BE SOME NUMBER 01:54PM 13 OF PEOPLE -- THERE WAS SOME PRICE POINT AT WHICH, FOR THE 01:54PM 14 DEFENDANTS TO HAVE TO PAY, FROM THEIR POINT OF VIEW, HAVE TO 01:54PM 15 PAY INTO A CLASS FUND WHILE LEAVING OPEN THE LIABILITY OF 01:54PM 16 THOUSANDS OF PEOPLE SEEMED TO BE, AS THEY EXPRESSED IT, 01:54PM 17 SOMETHING THAT SHOULD BE ACCOUNTED FOR. 01:55PM 18 SO IT WOULDN'T BE LESS CONSIDERATION TO THE CLASS. IT 01:55PM 19 WOULD BE JUST A PRO RATA REDUCTION THAT WOULD KICK IN. THE 01:55PM 20 SAME NUMBER OF PEOPLE WOULD HAVE THE SAME NET RESULT OF THE 01:55PM 21 CASE IF YOU HIT A CERTAIN THRESHOLD, AGAIN, ONE THAT I, AS 01:55PM 22 CLASS COUNSEL, DON'T THINK WILL BE REACHED, BUT WHICH IS KIND 01:55PM 23 OF A BACKSTOP FOR THE DEFENDANTS IN THE EVENT THAT IT IS. 01:55PM 24 THE COURT: OKAY. I'M UNCLEAR. YOU'RE SAYING THERE 01:55PM 25 WAS A 10 PERCENT REVERTER IN THE LUCASFILM, PIXAR, AND INTUIT UNITED STATES COURT REPORTERS	8 01:56PM 1 TO DATE THAT HASN'T HAPPENED. I DON'T KNOW WHETHER OR NOT 01:56PM 2 HE CONTINUES TO WANT TO WITHDRAW THAT OBJECTION OR CONTINUES TO 01:56PM 3 WANT TO SAY THAT HE WANTS THERE TO BE MORE MONEY IN THE 01:56PM 4 SETTLEMENT. I'M NOT SURE EITHER WAY. 01:56PM 5 THE COURT: OKAY. AND IS MR. MOHAMMED HERE TODAY? 01:56PM 6 ALL RIGHT. LET ME GIVE MR. GIRARD AN OPPORTUNITY TO 01:56PM 7 RESPOND TO THE PLAINTIFFS' REPLY. 01:57PM 8 I'D ALSO LIKE TO ASK WHETHER MR. DEVINE ACTUALLY SENT THAT 01:57PM 9 MAY 11, 2014 LETTER TO THE COURT, BECAUSE I NEVER GOT IT. DO 01:57PM 10 YOU KNOW IF HE ACTUALLY SENT IT? 01:57PM 11 MR. GIRARD: I DO NOT KNOW THE ANSWER TO THAT 01:57PM 12 QUESTION AS TO WHETHER IT WAS ACTUALLY SENT. I BELIEVE IT WAS 01:57PM 13 FROM SPEAKING WITH HIM. AND IF YOU'D LIKE TO SEE IT, WE WILL 01:57PM 14 PRODUCE IT TO THE COURT. 01:57PM 15 WE HAVE TALKED WITH MR. DEVINE AT LENGTH AND COUNSELLED 01:57PM 16 HIM ON THE ISSUES SURROUNDING THE APPROVAL OF CLASS ACTION 01:57PM 17 SETTLEMENTS, AND THE OPPOSITION TO THE MOTION FOR PRELIMINARY 01:57PM 18 APPROVAL THAT WAS FILED ON HIS BEHALF REFLECTS HIS POSITION IN 01:57PM 19 OPPOSITION AND IT SUPERSEDES THE LETTER. 01:57PM 20 SO THESE ARE THE ARGUMENTS THAT HE IS ELECTING TO PUT 01:57PM 21 FORWARD IN OPPOSITION TO THE SETTLEMENT, AND I'M PREPARED TO 01:57PM 22 SPEAK TO THOSE IF THIS IS THE RIGHT TIME FOR THAT. 01:57PM 23 THE COURT: YES. I WOULD LIKE TO HEAR YOUR RESPONSE 01:57PM 24 TO THE PLAINTIFFS' REPLY. 01:57PM 25 MR. GIRARD: SURE. UNITED STATES COURT REPORTERS

9 01:57PM 1 THE COURT: OKAY. 01:57PM 2 MR. GIRARD: SO TO START WITH, THE ARGUMENT IS MADE 01:58PM 3 THAT THE SETTLEMENT IS LARGE, PUT IT THAT WAY, \$324.5 MILLION, 01:58PM 4 AND IT IS INDISPUTABLY A VERY LARGE AMOUNT OF MONEY. 01:58PM 5 THE PERSPECTIVE THAT MR. DEVINE IS APPROACHING IS HIS 01:58PM 6 PERSPECTIVE AS AN INDIVIDUAL. IT'S NOT LOOKING BACK AND 01:58PM 7 SAYING, "IS IT OR ISN'T IT A BIG AMOUNT OF MONEY?" 01:58PM 8 HIS PERSPECTIVE IS THAT WHAT THIS REPRESENTS FOR HIM IS 01:58PM 9 AROUND \$3500 TO \$3600, AND FOR THAT PRICE, IF YOU ASKED HIM, 01:58PM 10 "WOULD YOU BE WILLING TO GIVE THE DEFENDANTS THE RIGHT TO 01:58PM 11 MANIPULATE THE MARKET FOR THE SERVICES HE PROVIDES FOR FOUR 01:58PM 12 YEARS FOR \$3600, OR WOULD YOU PREFER TO TAKE YOUR CHANCES, 01:58PM 13 KNOWING THAT YOU MIGHT LOSE THAT MONEY, BUT YOU MIGHT ALSO GET 01:58PM 14 A LOT MORE?" 01:58PM 15 AND SPECIFICALLY HERE WE THINK THAT IF THE PLAINTIFFS WIN 01:58PM 16 UNDER THEIR MODEL, THAT LOT MORE IS \$144,000, APPROXIMATELY. 01:59PM 17 I THINK, IF HE'S RATIONAL, HIS ANSWER -- AND HE IS -- AND 01:59PM 18 HIS ANSWER IS, "WHAT ARE MY CHANCES? ARE MY CHANCES 97 AND A 01:59PM 19 HALF PERCENT THAT I WILL DO WORSE THAN THIS \$3600?" 01:59PM 20 AND HE SAYS, "GIVEN THOSE ODDS, I DON'T THINK SO. I'LL 01:59PM 21 TAKE MY CHANCES ON AN INDIVIDUAL LEVEL." 01:59PM 22 AND HE'S HERE SPEAKING FOR THAT PERSPECTIVE, WHICH IS THAT 01:59PM 23 HE'S PREPARED TO PUT THIS AMOUNT OF MONEY AT RISK BECAUSE THE 01:59PM 24 AMOUNT THAT HE GETS SPECIFICALLY INDIVIDUALLY, NOTWITHSTANDING 01:59PM 25 HOW BIG THE SETTLEMENT IS, IS INSUFFICIENT, IN HIS MIND, IN UNITED STATES COURT REPORTERS	11 02:00PM 1 APPROVAL NOW, THE WRITING IS ON THE WALL THAT WE'LL GET TO THAT 02:01PM 2 POINT AND THEY'LL SAY IT'S A SMALL AMOUNT AND, THEREFORE, THE 02:01PM 3 MOST -- MOST OF THE CLASS IS HAPPY WITH THE SETTLEMENT AND THE 02:01PM 4 COURT SHOULD APPROVE IT. 02:01PM 5 WHAT'S UNIQUE ABOUT THIS CASE, I THINK -- AND PLAINTIFFS' 02:01PM 6 COUNSEL POINTED OUT THAT MOST OF THE CASES WHERE THE COURTS ARE 02:01PM 7 PUSHING BACK AT PRELIMINARY APPROVAL, A NUMBER OF THOSE CASES 02:01PM 8 INVOLVE FAIRLY QUESTIONABLE SETTLEMENTS AND NOT THE BEST WORK 02:01PM 9 NECESSARILY DONE BY PLAINTIFFS' COUNSEL, AND THAT'S NOT THE 02:01PM 10 ARGUMENT WE'RE MAKING HERE. 02:01PM 11 BUT THIS COURT, IN THIS PARTICULAR CASE, IS UNIQUELY 02:01PM 12 SITUATED TO EXERCISE ITS DISCRETION AT THIS STAGE, AND THIS IS 02:01PM 13 REALLY WHAT PRELIMINARY APPROVAL IS, IS THE COURT ACTING AS A 02:01PM 14 GATEKEEPER. 02:01PM 15 YOU KNOW, WHAT'S INTERESTING ABOUT RULE 23 IS THERE'S 02:01PM 16 NOTHING IN THERE ABOUT PRELIMINARY APPROVAL. WE COULDN'T FIND 02:01PM 17 A SINGLE CIRCUIT LEVEL DECISION WHERE A COURT SAYS THIS IS THE 02:01PM 18 STANDARD THAT YOU, AS A DISTRICT COURT, ARE REQUIRED TO APPLY. 02:01PM 19 THE DISTRICT COURTS REPEAT THE STANDARD GENERALLY THAT THE 02:02PM 20 COURT IS MAKING AN OVERALL ASSESSMENT OF THE FAIRNESS AND 02:02PM 21 LOOKING FOR SIGNS OF COLLUSION. 02:02PM 22 BUT AT THE SAME TIME, THE INSTRUCTION IS TO THIS COURT TO 02:02PM 23 LOOK HARD AND, IF YOU HAVE CONCERNS, TO EXPRESS THOSE CONCERNS 02:02PM 24 NOW. 02:02PM 25 SO WHAT MR. DEVINE'S POSITION IS IS THAT FROM THE UNITED STATES COURT REPORTERS
10 01:59PM 1 RELATION TO WHAT HE STANDS TO GAIN IF THIS CASE GOES FORWARD. 01:59PM 2 NOW, IT'S TRUE THAT THE AMOUNT OF MONEY THAT COUNSEL 01:59PM 3 OBTAINED -- AND TO BE CLEAR, THIS IS AN OBJECTION TO THE 01:59PM 4 SUFFICIENCY OF THE RECOVERY. IT'S NOT AN OBJECTION TO THE 01:59PM 5 ADEQUACY OF REPRESENTATION. SO WE'RE NOT CLAIMING THAT COUNSEL 01:59PM 6 WAS -- SOLD OUT THE CASE BECAUSE THEY GOT TOGETHER WITH THE 01:59PM 7 DEFENDANTS AND ENTERED INTO A COLLUSIVE SETTLEMENT. THAT 02:00PM 8 WOULDN'T BE A SERIOUS CLAIM AND THAT'S NOT THE CLAIM BEING 02:00PM 9 MADE. THE CLAIM GOES SOLELY TO THE SUFFICIENCY OF THE 02:00PM 10 RECOVERY. 02:00PM 11 AND THE ARGUMENT THAT MR. DEVINE MAKES IS THAT IF YOU LOOK 02:00PM 12 AT THIS SETTLEMENT, YES, IT'S TRUE THAT IT'S 325 MILLION, BUT I 02:00PM 13 CAN'T THINK OF ANY OTHER TYPE OF CASE THAT HAD THIS TYPE OF 02:00PM 14 EVIDENCE THAT WAS THIS CLOSE TO TRIAL. 02:00PM 15 SO, YES, IT'S A LOT OF MONEY. BUT IT'S ALSO A VERY, VERY 02:00PM 16 STRONG CASE, AND WHERE WE ARE HERE IS PRELIMINARY APPROVAL. 02:00PM 17 AND WE KNOW WHAT'S GOING TO HAPPEN HERE. IF THE COURT 02:00PM 18 ENTERS AN ORDER PRELIMINARILY APPROVING THE SETTLEMENT, NOTICE 02:00PM 19 WILL GO OUT AND SOME NUMBER OF CLASS MEMBERS WILL OBJECT TO THE 02:00PM 20 SETTLEMENT AND CLASS COUNSEL WILL SAY THAT NUMBER, WHATEVER IT 02:00PM 21 IS, IS SMALL IN RELATION TO THE TOTAL NUMBER OF CLASS MEMBERS, 02:00PM 22 AND THEY'LL PROBABLY BE RIGHT AND IT'S A LEGITIMATE ARGUMENT 02:00PM 23 AND I'VE MADE IT MANY TIMES AS CLASS COUNSEL. 02:00PM 24 BUT I THINK THE TREND IS TO TAKE THE HARD LOOK NOW RATHER 02:00PM 25 THAN DEFER TO FINAL APPROVAL, BECAUSE IF YOU ENTER PRELIMINARY UNITED STATES COURT REPORTERS	12 02:02PM 1 PERSPECTIVE OF ANY INDIVIDUAL MEMBER OF THIS CLASS, IF YOU'RE 02:02PM 2 PRESENTED WITH THE BARGAIN OF CONSENTING TO THIS CONDUCT AND 02:02PM 3 ENTERING INTO A RELEASE, IF YOU LOOK AT IT FROM HIS INDIVIDUAL 02:02PM 4 PERSPECTIVE, LIKE A PERSONAL INJURY CASE, IF HE'S GIVEN THE 02:02PM 5 CHOICE OF TAKING \$3600 OR PLAYING IT FORWARD FOR THE 02:02PM 6 POSSIBILITY OF DOING A LOT BETTER, AND WHEN YOU LOOK AT THE 02:02PM 7 CONDUCT INVOLVED AND YOU THINK ABOUT WHAT THE DEFENDANTS DID 02:02PM 8 HERE AND HOW THAT AFFECTED THE MARKET FOR THE SERVICES THAT HE 02:02PM 9 AND THE OTHER MEMBERS OF THE CLASS ARE PROVIDING, THAT THEY 02:02PM 10 WOULD PREFER TO TAKE THEIR CHANCES. 02:02PM 11 AND HE'S NOT SAYING -- HE'S NOT SAYING THAT THERE'S NO 02:03PM 12 SETTLEMENT EVER THAT COULD POSSIBLY BE SATISFACTORY TO HIM. 02:03PM 13 HE'S SAYING THAT HE LOOKS AT THIS AND HE THINKS THIS SETTLEMENT 02:03PM 14 IS SHORT OF THE MARK AND THAT IT WOULD BE WORTH IT -- 02:03PM 15 THE COURT: HOW MUCH SHORT OF THE MARK DOES HE THINK 02:03PM 16 IT IS? 02:03PM 17 MR. GIRARD: I THINK HE -- HIS CONCERN WAS THAT HE 02:03PM 18 WAS CONCERNED WITH THE PROCESS, TO SOME EXTENT. 02:03PM 19 AND TO ANSWER THAT QUESTION, I GUESS I WOULD -- I WANT TO 02:03PM 20 GIVE A SPECIFIC RESPONSE RATHER THAN AN OVERLY GENERAL ONE. 02:03PM 21 I DON'T THINK WE'RE TALKING ABOUT MULTIPLES OF THIS 02:03PM 22 NUMBER. ONE THOUGHT THAT WE HAD, IN TERMS OF WHAT THIS COURT 02:03PM 23 MIGHT CONSIDER DOING, IS IF THE COURT SHARES ANY OF THESE 02:03PM 24 CONCERNS ABOUT THE SUFFICIENCY OF THE SETTLEMENT, TO GIVE THE 02:03PM 25 PARTIES AN OPPORTUNITY TO GO BACK TO THE TABLE WITH MR. DEVINE UNITED STATES COURT REPORTERS

13 02:03PM 1 REPRESENTED, ALONG WITH CLASS COUNSEL, AND SEE IF, IN THE 02:03PM 2 CONTEXT OF THE MEDIATION, THE DEFENDANTS ARE WILLING TO PAY ANY 02:03PM 3 MORE IN SETTLEMENT. 02:04PM 4 IF THE ANSWER IS NO, THEN THE COURT CAN RULE ON THIS 02:04PM 5 MOTION AS IT'S BEEN PRESENTED TO THE COURT. 02:04PM 6 IF WE'RE ABLE TO COME BACK WITH A SUBSTANTIALLY IMPROVED, 02:04PM 7 OR EVEN A MODESTLY IMPROVED SETTLEMENT, THE COURT WILL HAVE A 02:04PM 8 DIFFERENT CALCULUS IN FRONT OF IT AND PROBABLY A SETTLEMENT 02:04PM 9 THAT ALL THE CLASS REPRESENTATIVES SUPPORT. 02:04PM 10 THAT'S A PROCESS WE'D BE WILLING TO TAKE ON IF THE COURT 02:04PM 11 IS SO INCLINED. 02:04PM 12 AND -- 02:04PM 13 THE COURT: WHAT ABOUT MR. DEVINE JUST OPTING OUT AND 02:04PM 14 LITIGATING HIS OWN INDIVIDUAL CASE? 02:04PM 15 MR. GIRARD: WELL, THAT'S A POSSIBILITY AND WE'VE 02:04PM 16 CERTAINLY TALKED WITH HIM ABOUT THAT. 02:04PM 17 THE SITUATION FROM HIS POINT OF VIEW, IT'S THE SAME 02:04PM 18 SITUATION THAT WAS DISCUSSED RECENTLY BY THE SUPREME COURT IN 02:04PM 19 THE <u>ITALIAN COLORS</u> CASE ON ARBITRATION. HE'S GOING TO BE 02:04PM 20 LOOKING THEN AT A CLAIM THAT'S WORTH, ON AVERAGE, \$140,000 02:04PM 21 TREBLED, AND HE'S GOING TO BE LOOKING AT EXPENSES FOR EXPERTS 02:05PM 22 THAT ARE GOING TO BE MANY MULTIPLES OF THAT. 02:05PM 23 SO THE OPT OUT RATE HERE IS A, YOU KNOW, RELATIVELY WEAK 02:05PM 24 EXPEDIENT UNLESS THE VOLUME OF OPT OUTS ARE SUCH THAT IT'S 02:05PM 25 POSSIBLE TO AGGREGATE SOME GROUP OF PEOPLE WHO SHARE THE SAME UNITED STATES COURT REPORTERS	15 02:06PM 1 ALL FAIR ARGUMENTS. 02:06PM 2 THE FLIP SIDE IS, WHAT ABOUT THE POSSIBILITY THAT THE 02:06PM 3 DEFENDANTS END UP HAVING TO PAY OVER A BILLION DOLLARS BEFORE 02:06PM 4 TREBLING? 02:06PM 5 THEY'RE EQUALLY LEGITIMATE POINTS TO CONSIDER. 02:06PM 6 SO WE'RE NOT -- I MEAN, THIS ISN'T THE OBJECTION WHERE 02:06PM 7 SOMEBODY COMES AND WAVES OFF ALL THE REALITIES AND RISKS OF 02:06PM 8 TRIAL. WE HAVE A TREMENDOUS LEVEL OF APPRECIATION FOR THE WORK 02:07PM 9 THAT'S GONE INTO THIS PROCESS AND HOW HARD COUNSEL HAVE WORKED. 02:07PM 10 THIS IS REALLY A CLASS REPRESENTATIVE WHO'S SPEAKING UP, 02:07PM 11 DOING THE RIGHT THING IN TERMS OF COMING FORWARD TO THE COURT 02:07PM 12 WITH THE BENEFIT OF HIS EXPERIENCE AND THE THOUGHT AND, TO SOME 02:07PM 13 EXTENT, THE PERSONAL TRAVAIL ALL FOUR OF THESE CLASS 02:07PM 14 REPRESENTATIVES HAVE SUFFERED PROFESSIONALLY FROM HAVING TO 02:07PM 15 TAKE ON THIS INDUSTRY AND THESE DEFENDANTS, AND I THINK THE 02:07PM 16 COST THAT THEY PERCEIVE IN THAT TO THEM AS FAR AS THE 02:07PM 17 PROFESSIONAL CONSEQUENCES THAT THEY MAY SUFFER FOR HAVING 02:07PM 18 BROUGHT THESE CASES AND SAYING, "SOMEHOW WE FEEL LIKE WE'VE 02:07PM 19 BEEN LEFT SHORT HERE, THAT THIS ISN'T THE KIND OF RESULT THAT 02:07PM 20 WE THOUGHT, WHEN WE GOT INTO THIS, WAS WHAT WE WERE LOOKING 02:07PM 21 FOR." 02:07PM 22 AND, YOU KNOW, YOU THINK ABOUT THIS -- AND I DON'T WANT TO 02:07PM 23 GET TOO PHILOSOPHICAL HERE, SO I'M GOING TO CUT TO THE POINT 02:08PM 24 HERE -- BUT YOU THINK ABOUT THIS COUNTRY AND HOW HARD PEOPLE 02:08PM 25 WORK TO GET THESE TYPES OF JOBS AND HOW IMPORTANT IT IS TO A UNITED STATES COURT REPORTERS
14 02:05PM 1 VIEW HE HAS AND WANT TO PROCEED. 02:05PM 2 THE COURT: WHAT ABOUT THE -- WHAT ABOUT THE SPECIFIC 02:05PM 3 ARGUMENTS THAT THE PLAINTIFFS MAKE IN THEIR REPLY THAT, YOU 02:05PM 4 KNOW, MR. -- DR. LEAMER ONLY PROVIDED A DAMAGES ANALYSIS FOR 02:05PM 5 THE OVERARCHING CONSPIRACY, AND IF THE JURY WERE TO FIND THAT 02:05PM 6 ONE OF THE SEVEN DEFENDANTS DIDN'T ACTUALLY JOIN IN THAT 02:05PM 7 CONSPIRACY, THERE WOULDN'T BE SORT OF AN ALTERNATIVE DAMAGES 02:05PM 8 CALCULATION FOR THE JURY TO RELY ON. 02:05PM 9 MR. GIRARD: SO THEY MADE A NUMBER OF ARGUMENTS LIKE 02:05PM 10 THAT. 02:05PM 11 THE COURT: YEAH. 02:06PM 12 MR. GIRARD: AND THERE WAS AN ISSUE ABOUT WHETHER THE 02:06PM 13 COURT WOULD ORDER THAT THE STANDARD IS GOING TO BE PER SE 02:06PM 14 VERSUS RULE OF REASON -- 02:06PM 15 THE COURT: UM-HUM. 02:06PM 16 MR. GIRARD: -- A NUMBER OF EVIDENTIARY MOTIONS THAT 02:06PM 17 WERE BEFORE THE COURT, AND THE NEED FOR A UNANIMOUS JURY, ET 02:06PM 18 CETERA. 02:06PM 19 I MEAN, I PUT ALL OF THOSE UNDER THE UMBRELLA GENERALLY OF 02:06PM 20 TRIAL IS RISKY. 02:06PM 21 THE COURT: UM-HUM. 02:06PM 22 MR. GIRARD: BUT THIS IS NOT A SITUATION HERE WHERE 02:06PM 23 THE CASE IS, YOU KNOW, AT THE MOTION TO DISMISS STAGE, OR EVEN 02:06PM 24 AT THE SUMMARY JUDGMENT STAGE. I MEAN, WE'RE HERE POST CLASS 02:06PM 25 CERTIFICATION, POST RULE 23, VERY CLOSE TO TRIAL, AND THOSE ARE UNITED STATES COURT REPORTERS	16 02:08PM 1 LOT OF THE, THE GENERATION OF PEOPLE THAT ARE COMING UP, 02:08PM 2 ENTERING THE WORK FORCE, THE SACRIFICES SOMEBODY LIKE 02:08PM 3 MR. DEVINE MADE, THE LOANS THEY TOOK OUT TO BE EDUCATED AND SO 02:08PM 4 FORTH, AND ANYTHING ABOUT THE RHETORIC THAT IS BEING SOLD BY 02:08PM 5 THE PEOPLE WHO ENTERED INTO THESE AGREEMENTS ABOUT FREE 02:08PM 6 ENTERPRISE AND INDIVIDUAL RESPONSIBILITY AND ON AND ON, AND YOU 02:08PM 7 LOOK AT THE FACT THAT THEY WERE GETTING TOGETHER AND FIXING THE 02:08PM 8 PRICE FOR THESE SERVICES. 02:08PM 9 I MEAN, I THINK FROM THEIR POINT OF VIEW, IT'S VERY TOUGH 02:08PM 10 TO GIVE IT UP AT THIS POINT FOR THE TRADE THAT I REFERRED TO, 02:08PM 11 THE \$3600 FOR THE RIGHT TO FIX THIS MARKET FOR FOUR YEARS. 02:08PM 12 AND SO THAT'S, THAT'S THE PERSPECTIVE IN WHICH HE IS 02:08PM 13 APPROACHING THE COURT TODAY. 02:08PM 14 THE COURT: ALL RIGHT. THANK YOU. 02:08PM 15 LET ME HEAR FROM THE PLAINTIFFS. 02:09PM 16 MS. DERMODY: YOUR HONOR, DO YOU WANT TO HEAR THE 02:09PM 17 HOUSEKEEPING THINGS FIRST IN RESPONSE TO YOUR QUESTIONS? 02:09PM 18 THE COURT: SURE. HOW MANY CLASS -- 02:09PM 19 MS. DERMODY: SO FROM -- 02:09PM 20 THE COURT: -- LITIGATION CLASS OPT OUTS WERE THERE? 02:09PM 21 MS. DERMODY: SIXTY-ONE. 02:09PM 22 THE COURT: OKAY. 02:09PM 23 MR. DERMODY: AND IN BOTH THE PIXAR, LUCAS, AND 02:09PM 24 INTUIT SETTLEMENTS, THERE WAS AN ATTACHMENT 1. SO IF YOUR 02:09PM 25 HONOR WAS LOOKING IN THE BODY OF THE SETTLEMENT AGREEMENTS, YOU UNITED STATES COURT REPORTERS

17 02:09PM 1 MIGHT NOT HAVE SEEN IT. 02:09PM 2 BUT IF YOU LOOK TO THE FIRST ATTACHMENT, IT'S IN THERE. 02:09PM 3 IT TALKS ABOUT A PRO RATA REDUCTION, AND IN PIXAR/LUCASFILM IT 02:09PM 4 WAS 10 PERCENT WAS THE THRESHOLD, AND ONCE YOU HAD 10 PERCENT 02:09PM 5 OPT OUTS, THEN YOU WOULD START HAVING A PRO RATA REDUCTION OF 02:09PM 6 THE CLASS CONSIDERATION. 02:09PM 7 THE COURT: WHY IS IT SO MUCH LOWER HERE? 02:09PM 8 MS. DERMODY: I THINK IT'S A DIFFERENT POINT IN THE 02:09PM 9 CASE, DIFFERENT ISSUES IN THE CASE IN TERMS OF CONCERNS ABOUT 02:09PM 10 OPT OUTS, YOUR HONOR. 02:09PM 11 I THINK THAT WAS REALLY ALL THAT WAS GOING ON. I MEAN -- 02:09PM 12 THE COURT: OKAY. THE POINT IN THE CASE WOULD 02:09PM 13 ACTUALLY DICTATE FOR A HIGHER NUMBER, RIGHT? I MEAN THE -- 02:09PM 14 MS. DERMODY: NOT IF YOU -- 02:09PM 15 THE COURT: -- THE LUCASFILM/PIXAR/INTUIT FOLKS 02:10PM 16 SETTLED WHEN I HAD DENIED THE CLASS CERTIFICATION MOTION. 02:10PM 17 SO THESE DEFENDANTS SETTLED AFTER I HAD CERTIFIED THE 02:10PM 18 CLASS, AFTER THE NINTH CIRCUIT HAD REFUSED TO REVIEW MY CLASS 02:10PM 19 CERTIFICATION ORDER, AFTER I HAD DENIED SUMMARY JUDGMENT, AFTER 02:10PM 20 I HAD DENIED THE DAUBERT EXCLUDING DR. LEAMER'S DAMAGES 02:10PM 21 ANALYSIS. 02:10PM 22 MS. DERMODY: RIGHT. 02:10PM 23 THE COURT: SO IF ANYTHING, THAT NUMBER SHOULD BE 02:10PM 24 GOING UP AND NOT GOING DOWN. 02:10PM 25 MS. DERMODY: YOU WOULD THINK, IN GENERAL, THAT WOULD UNITED STATES COURT REPORTERS	19 02:11PM 1 I JUST WANT TO MAKE VERY CLEAR TO THE COURT THAT THE 02:11PM 2 PARTIES AGREED THAT THEY WOULD NOT RELEASE ANY OF THE TERMS 02:11PM 3 UNTIL THEY PRESENTED THEM TO YOUR HONOR. NO ONE ON THE 02:11PM 4 PLAINTIFFS' SIDE SPOKE TO ANY MEDIA ABOUT ANY OF THE SPECIFIC 02:11PM 5 TERMS OF THE SETTLEMENT. I DON'T KNOW WHERE "THE NEW YORK 02:11PM 6 TIMES" GOT THEIR INFORMATION. TO THIS DAY, I'M PERSONALLY VERY 02:11PM 7 UPSET THAT THAT INFORMATION WAS OUT THERE BECAUSE THE PARTIES 02:11PM 8 WERE STILL NEGOTIATING THE TERMS OF THE SETTLEMENT AGREEMENT. 02:11PM 9 SO THAT WAS STILL IN PLAY, THAT PARTICULAR TERM, AND THAT 02:11PM 10 PARTICULAR TERM WAS INFORMED BY FEEDBACK THAT HAPPENED, IN PART 02:11PM 11 FROM "THE NEW YORK TIMES," RIGHT AFTERWARDS. 02:11PM 12 SO YOU HAVE TO DEAL WITH THE FACTS IN THE GROUND THAT 02:12PM 13 HAPPENED AT THE TIME YOU'RE NEGOTIATING THOSE TERMS AND THAT IS 02:12PM 14 THE DIFFERENCE. 02:12PM 15 IF THAT TERM ITSELF IS THE STICKING POINT FOR YOUR HONOR, 02:12PM 16 ABSOLUTELY WE'RE GOING TO HAVE TO SORT OF GO AND ADDRESS THAT. 02:12PM 17 BUT I WANT YOUR HONOR TO UNDERSTAND THAT WE WEREN'T 02:12PM 18 DEALING WITH THE EXACT SAME INFORMATION ABOUT OPT OUTS THAT WE 02:12PM 19 WERE WHEN WE NEGOTIATED THE PIXAR/LUCASFILM -- 02:12PM 20 THE COURT: I GUESS IT STILL DOESN'T MAKE SENSE TO 02:12PM 21 ME. YOUR JUSTIFICATION FOR THE NUMBER GOING DOWN IS BASED ON 02:12PM 22 OBJECTIONS THAT OCCURRED AFTER YOU HAD ALREADY AGREED TO THE 02:12PM 23 NUMBER. 02:12PM 24 MS. DERMODY: YOUR HONOR, IT'S A -- IT'S A FUNNY 02:12PM 25 POSITION -- UNITED STATES COURT REPORTERS
18 02:10PM 1 BE TRUE FOR A LOT OF TERMS, YOUR HONOR. 02:10PM 2 THE COURT: UM-HUM. 02:10PM 3 MS. DERMODY: BUT ON THAT PARTICULAR ONE, AT THE TIME 02:10PM 4 OF THE PIXAR/LUCAS SETTLEMENT, AS YOU MIGHT REMEMBER, THERE WAS 02:10PM 5 NO PRIOR PRELIMINARY APPROVAL INFORMATION THAT ANYONE IN THE 02:10PM 6 CLASS MIGHT OBJECT TO THAT SETTLEMENT. 02:10PM 7 WE HAD A DIFFERENT SCENARIO HERE. SO IT WAS A 02:10PM 8 DIFFERENT -- IT WAS JUST A DIFFERENT -- THE PLACE WAS SET 02:10PM 9 DIFFERENTLY FOR THAT PARTICULAR TERM TO BE NEGOTIATED THAN IT 02:10PM 10 WAS AT THE TIME OF THE PIXAR/LUCAS SETTLEMENT, DIFFERENT FACTS 02:10PM 11 IN THE GROUND. 02:10PM 12 THE COURT: OKAY. SO TELL ME THEN WHAT YOU KNEW AT 02:10PM 13 THE TIME YOU SETTLED, BECAUSE MY UNDERSTANDING IS YOU DIDN'T 02:10PM 14 GET THESE OBJECTIONS UNTIL AFTER PEOPLE, SOMEBODY AT "THE 02:11PM 15 NEW YORK TIMES" LEAKED THE 324 MILLION NUMBER. 02:11PM 16 MS. DERMODY: RIGHT. I DON'T KNOW HOW THAT -- 02:11PM 17 THE COURT: RIGHT. SO I GUESS I'M UNCLEAR. HOW ARE 02:11PM 18 OBJECTIONS THAT POST-DATED THE ANNOUNCEMENT OF THE SETTLEMENT 02:11PM 19 AMOUNT, THE ONES THAT MOTIVATED THE NUMBER DURING THE 02:11PM 20 SETTLEMENT NEGOTIATIONS THAT PRECEDED THAT NUMBER COMING OUT? 02:11PM 21 MS. DERMODY: WELL, AT THE -- 02:11PM 22 THE COURT: DOES THAT MAKE SENSE TO YOU? 02:11PM 23 MS. DERMODY: YES, YOUR HONOR. 02:11PM 24 THE COURT: THAT DOESN'T MAKE SENSE TO ME. 02:11PM 25 MS. DERMODY: I UNDERSTAND THE QUESTION COMPLETELY. UNITED STATES COURT REPORTERS	20 02:12PM 1 THE COURT: BECAUSE YOU ANNOUNCED -- YOU SENT THE 02:12PM 2 LETTER TO ME THAT YOU HAD REACHED A SETTLEMENT AT ABOUT THE 02:12PM 3 EXACT SAME TIME. 02:12PM 4 MS. DERMODY: YES, YOUR HONOR. 02:12PM 5 THE COURT: SO I ASSUME WHEN YOU SENT THAT LETTER TO 02:12PM 6 ME, YOU HAD THIS 4 PERCENT NUMBER. 02:12PM 7 MS. DERMODY: NO. WE HAD THE -- I MEAN, YOUR HONOR 02:12PM 8 IS SORT OF ASKING ME TO REVEAL A LOT OF SETTLEMENT PRIVILEGES, 02:12PM 9 SO I'M HAVING A HARD TIME WITH THIS. 02:12PM 10 BUT I WILL TELL YOU THAT -- 02:12PM 11 THE COURT: WELL, YOU'RE THE ONE THAT OPENED THE 02:12PM 12 DOOR. YOU'RE THE ONE THAT GAVE THAT AS THE JUSTIFICATION FOR 02:12PM 13 WHY THE NUMBER IS LOWER THAN 10 PERCENT TO 4 PERCENT, RIGHT? I 02:12PM 14 MEAN, IF YOU HADN'T OPENED THE DOOR, I WOULDN'T BE FOLLOWING 02:12PM 15 THIS LINE OF INQUIRY. 02:12PM 16 MS. DERMODY: I WANT TO MAKE SURE THE COURT 02:13PM 17 UNDERSTANDS, BECAUSE I APPRECIATE THE QUESTION. IT'S A 02:13PM 18 COMPLETELY FAIR QUESTION. 02:13PM 19 THE COURT: I GUESS I DON'T UNDERSTAND. 02:13PM 20 MS. DERMODY: THE 324. -- 02:13PM 21 THE COURT: THE EARLIER DEFENDANTS SETTLED AT A POINT 02:13PM 22 WHEN THEY HAD MUCH MORE LEVERAGE. 02:13PM 23 THESE DEFENDANTS SETTLED AFTER THEIR LEVERAGE WAS LARGELY 02:13PM 24 GONE. AS SOON AS THE NINTH CIRCUIT SAID, "WE'RE NOT GOING TO 02:13PM 25 REVIEW THIS CLASS CERT ORDER," THEY WERE GOING TO BE FORCED TO UNITED STATES COURT REPORTERS

21 02:13PM 1 GO TO TRIAL, AND I SUSPECT THEY WOULD HAVE WON, IN WHICH CASE 02:13PM 2 THERE WOULD HAVE BEEN AUTOMATIC TREBLING. 02:13PM 3 NOW, GRANTED, I UNDERSTAND THE APPEAL RISKS. 02:13PM 4 BUT IT'S STILL -- FROM A NEGOTIATING STANDPOINT, THESE 02:13PM 5 DEFENDANTS SHOULD HAVE HAD LESS LEVERAGE THAN THE 02:13PM 6 LUCASFILM/PIXAR/INTUIT DEFENDANTS WHO SETTLED WHEN THE ONLY 02:13PM 7 ORDER WAS DENYING THE CLASS CERT MOTION. 02:13PM 8 MS. DERMODY: SO, YOUR HONOR -- 02:13PM 9 THE COURT: SO WHY ARE THEY PAYING -- WHY ARE THE 02:13PM 10 EARLIER SETTLING DEFENDANTS BEING PENALIZED BY PAYING A HIGHER 02:13PM 11 PROPORTION OF THEIR DAMAGES LIABILITY THAN THESE DEFENDANTS? 02:13PM 12 MS. DERMODY: WELL, LET ME MAKE IT TOTALLY CLEAR. 02:13PM 13 THE COURT: YEAH. 02:14PM 14 MS. DERMODY: THE PRIOR DEFENDANTS PAID A HUNDRED 02:14PM 15 PERCENT, 100 PERCENT OF WHAT WAS IN THE SETTLEMENT AGREEMENT. 02:14PM 16 WE EXPECT THESE DEFENDANTS WILL PAY 100 PERCENT OF WHAT IS 02:14PM 17 PROMISED IN THE SETTLEMENT AGREEMENT. 02:14PM 18 THE ONLY TIME THAT THERE'S ANY POSSIBILITY THAT THERE WILL 02:14PM 19 BE A PRO RATA REDUCTION IS IF YOU HIT A THRESHOLD OF OVER 2500 02:14PM 20 NEW OPT OUTS AFTER WE HAD 61 THE LAST TIME AROUND. 02:14PM 21 SO THIS IS TALK -- THIS IS SORT OF EXPECTING THE WORST 02:14PM 22 POSSIBLE CASE SCENARIO THAT, BASED ON THE PRIOR SETTLEMENTS -- 02:14PM 23 WE DIDN'T KNOW, PRIOR TO THOSE SETTLEMENTS, WHO WOULD OPT OUT. 02:14PM 24 NOW WE HAVE BETTER INFORMATION THAT VERY FEW PEOPLE OPTED 02:14PM 25 OUT LAST TIME AND IT WAS A VERY SMALL SETTLEMENT AMOUNT. UNITED STATES COURT REPORTERS	23 02:15PM 1 HERE'S HOW WE SAW THE LAY OF THE LAND, YOUR HONOR. SO 02:16PM 2 WHILE THE NINTH CIRCUIT DID NOT GRANT THE 23(F), AND WE WERE 02:16PM 3 DELIGHTED THAT THAT HAPPENED, THE NINTH CIRCUIT DID NOT GRANT 02:16PM 4 23(F) AND THEN RULE FOR US, AFFIRM ON THE MERITS. 02:16PM 5 SO FROM OUR PERSPECTIVE, THE ISSUE OF CLASS CERTIFICATION 02:16PM 6 IS STILL AN OPEN ISSUE ON APPEAL. SO THAT ISSUE DOESN'T GET 02:16PM 7 TAKEN OFF THE TABLE BECAUSE OF 23(F) BEING DENIED. THAT'S 02:16PM 8 STILL OUT THERE. 02:16PM 9 THE COURT: RIGHT. BUT WHAT IS YOUR NEGOTIATING 02:16PM 10 POSITION IF YOU HAD GONE TO TRIAL AND YOU HAD WON AND THEN YOU 02:16PM 11 HAD THE APPEAL PROCESS PENDING? YOUR NEGOTIATION LEVERAGE 02:16PM 12 WOULD HAVE INCREASED. 02:16PM 13 MS. DERMODY: ABSOLUTELY, YOUR HONOR. 02:16PM 14 THE COURT: IT WOULD HAVE INCREASED. 02:16PM 15 MS. DERMODY: SO LET'S TALK ABOUT THE TRIAL. 02:16PM 16 THE COURT: LET'S TALK ABOUT THE NINTH CIRCUIT. YOU 02:16PM 17 DON'T THINK, EN BANC, THERE WOULD HAVE BEEN A GOOD -- EN 02:16PM 18 BANC -- THERE WOULD HAVE BEEN A GOOD POSSIBILITY THAT THE CLASS 02:16PM 19 CERT ORDER WOULD HAVE BEEN AFFIRMED? 02:16PM 20 MS. DERMODY: I THINK IT'S A POSSIBILITY. 02:16PM 21 AND THEN WHAT ARE YOUR ODDS IN THE SUPREME COURT, YOUR 02:16PM 22 HONOR? 02:16PM 23 THE COURT: WELL, I THINK IF YOU WANT TO DO AN ORDER 02:16PM 24 THAT RESTRICTS CLASS ACTIONS, I DON'T KNOW IF THIS IS THE 02:16PM 25 POSTER CHILD FOR DOING THAT. UNITED STATES COURT REPORTERS
22 02:14PM 1 THIS TIME, IT'S A MUCH GREATER SETTLEMENT AMOUNT. WE 02:14PM 2 DON'T HAVE ANY EXPECTATION THAT MORE PEOPLE WILL SUDDENLY 02:14PM 3 DECIDE TO EXERCISE THAT OPTION. 02:14PM 4 SO I'M -- I JUST WANT TO MAKE SURE YOUR HONOR UNDERSTANDS 02:14PM 5 THAT THEY'RE NOT GOING TO PAY LESS, NOT UNLESS YOU HAVE A VERY, 02:14PM 6 VERY LARGE NUMBER OF PEOPLE SUDDENLY COMING OUT OF THE WOODWORK 02:14PM 7 TO OPT OUT, WHICH WE HAVE NO REASON TO BELIEVE IS GOING TO BE 02:15PM 8 THE CASE. 02:15PM 9 THE COURT: OKAY. SEPARATE FROM THIS REVERTER, 02:15PM 10 SEPARATE FROM THIS REVERTER, IT DOES APPEAR THAT THESE LATER 02:15PM 11 SETTLING DEFENDANTS ARE PAYING A LOWER PROPORTION OF THEIR 02:15PM 12 POTENTIAL DAMAGES LIABILITY THAN THE EARLIER SETTLING 02:15PM 13 DEFENDANTS, AND IT DOESN'T MAKE SENSE TO ME BECAUSE THEY SHOULD 02:15PM 14 HAVE HAD LESS LEVERAGE THAN THE EARLIER SETTLING DEFENDANTS. 02:15PM 15 MS. DERMODY: I THINK I WOULD DISAGREE WITH THE FIRST 02:15PM 16 ASSUMPTION, YOUR HONOR. 02:15PM 17 THE COURT: OKAY. 02:15PM 18 MS. DERMODY: I DO THINK THAT THERE IS A SIMILAR 02:15PM 19 RATIO IN TERMS OF THE EARLIER DEFENDANTS AND THESE DEFENDANTS, 02:15PM 20 AND I CAN APPRECIATE WHY YOUR HONOR WOULD ASK THE QUESTION THAT 02:15PM 21 YOUR HONOR IS ASKING. 02:15PM 22 AND I THINK FROM OUR PERSPECTIVE, I WANT IT TO BE REALLY 02:15PM 23 CLEAR WHAT WE WERE LOOKING AT AND WHY WE THINK IT WOULD BE 02:15PM 24 MALPRACTICE FOR US, AS CLASS COUNSEL, NOT TO GIVE THE CLASS A 02:15PM 25 CHANCE TO HEAR THAT THEY COULD GET \$324.5 MILLION. UNITED STATES COURT REPORTERS	24 02:16PM 1 WHAT DO YOU THINK? DO YOU THINK THE SUPREME COURT WOULD 02:17PM 2 HAVE WANTED TO DO IT IN THIS CASE? YOU DON'T THINK PERHAPS 02:17PM 3 THERE MIGHT HAVE BEEN A LEGISLATIVE FIX? THIS WOULD HAVE BEEN 02:17PM 4 LIKE A <u>LILLY LEDBETTER</u> SITUATION WHERE THERE MAY HAVE BEEN A 02:17PM 5 LEGISLATIVE RESPONSE? 02:17PM 6 I MEAN, I JUST DON'T THINK THAT THIS IS THE -- IF THERE 02:17PM 7 WERE GOING TO BE A GOOD CASE FOR FURTHER RESTRICTING CLASS 02:17PM 8 ACTIONS, I'M NOT SURE THIS IS THE ONE. 02:17PM 9 MS. DERMODY: IT SOUNDS -- WHAT YOU'RE SAYING, YOUR 02:17PM 10 HONOR, SOUNDS LIKE CONVERSATIONS THAT ME AND MY PARTNERS HAVE 02:17PM 11 AROUND THE CONFERENCE ROOM TABLE ABOUT CASES ALL THE TIME, 02:17PM 12 INCLUDING THIS CASE, AND WHY IT'S SO HARD, WITH A CASE LIKE 02:17PM 13 THIS, TO KNOW WHAT'S THE RIGHT THING TO DO FOR A BUNCH OF 02:17PM 14 ABSENT CLASS MEMBERS WHOSE RIGHTS YOU HOLD IN YOUR HAND BY YOUR 02:17PM 15 NEGOTIATION. 02:17PM 16 AND WHEN YOU HAVE A CASE WHERE YOU CAN RECOGNIZE THAT 02:17PM 17 THERE IS A RISK, YOU HAVE TO TAKE THAT RISK SERIOUSLY. EVEN IF 02:17PM 18 YOU THINK YOU HAVE A GREAT CASE AND IT'S THE MOST WONDERFUL 02:17PM 19 CASE, YOU HAVE TO AT LEAST ACKNOWLEDGE THAT THE RISK EXISTS. 02:17PM 20 THAT'S ONLY ONE RISK. IT IS A RISK. IT MAY NOT BE EVEN 02:17PM 21 THE RISK THAT WE THOUGHT WAS THE GREATEST RISK. 02:17PM 22 I THINK YOUR HONOR MAY HAVE ASSUMED MORE THAN WE DID ABOUT 02:18PM 23 THE LACK OF RISK AT TRIAL, AND WE HAVE DONE JURY TESTING, AS I 02:18PM 24 KNOW THE DEFENDANTS HAVE DONE JURY TESTING -- AS ANYONE I'M 02:18PM 25 SURE THAT COMES BEFORE YOUR HONOR DOES IN A COMPLEX LITIGATION UNITED STATES COURT REPORTERS

25 02:18PM 1 IN THIS COURT -- TO FIND OUT WHAT JURORS THINK ABOUT THIS 02:18PM 2 EVIDENCE, WHAT JURORS THINK ABOUT THESE CLASS MEMBERS, WHAT 02:18PM 3 JURORS THINK ABOUT CERTAIN THEMES THAT ARE IN THIS CASE. 02:18PM 4 AND YOU HAVE TO BE SOBERED WHEN YOU DO THAT KIND OF 02:18PM 5 TESTING TO UNDERSTAND THAT WHILE YOU MIGHT HAVE GREAT EVIDENCE, 02:18PM 6 YOU HAVE TO OVERCOME A NUMBER OF HURDLES. 02:18PM 7 IN THIS CASE, AS THE COURT WELL KNOWS, WE HAD SEVERAL. WE 02:18PM 8 HAVE JURORS HAVE TO FIND UNANIMOUSLY THERE WAS AN OVERARCHING 02:18PM 9 CONSPIRACY AMONG ALL SEVEN COMPANIES; WE HAVE JURORS HAVE TO 02:18PM 10 FIND THAT THERE WAS IMPACT UNANIMOUSLY; AND JURORS HAVE TO COME 02:18PM 11 UP WITH A DAMAGES FIGURE THAT'S GOING TO RIVAL WHAT WE'VE 02:18PM 12 SECURED HERE, THAT IS, A SUM CERTAIN. 02:18PM 13 AND WHEN WE EXPLORE ALL OF THOSE THINGS, THOSE ARE VERY, 02:18PM 14 VERY REAL RISKS FOR PLAINTIFFS, VERY REAL RISKS. 02:18PM 15 AND THE PROBLEM FOR US, AS WE LOOK AT WHAT'S HAPPENED IN 02:19PM 16 OTHER ANTITRUST TRIALS IN THE LAST DECADE, IS THAT IT'S VERY, 02:19PM 17 VERY TOUGH. 02:19PM 18 THE COURT: LET ME ASK YOU A QUESTION. IN YOUR 02:19PM 19 PAPERS, YOU SAY AT LEAST TWICE, OR AT LEAST ONCE, THAT IF ONE 02:19PM 20 OF THE SEVEN DEFENDANTS WAS FOUND NOT TO HAVE PARTICIPATED IN 02:19PM 21 AN OVERARCHING CONSPIRACY, THE DAMAGES WOULD HAVE BEEN ZERO. 02:19PM 22 DO YOU REALLY THINK THAT'S THE CASE? IT WOULD HAVE BEEN ZERO? 02:19PM 23 MS. DERMODY: IF THE -- THAT'S NOT OUR POSITION. I'M 02:19PM 24 SAYING WHAT WE KNOW THE DEFENDANTS WOULD ARGUE, AND WE WOULD 02:19PM 25 HAVE TO PRESENT OUR POSITIONS AGAINST THAT. WE WOULD DISAGREE UNITED STATES COURT REPORTERS	27 02:20PM 1 WORKERS ARE AMONG THE MOST DESIRABLE IN THE WORLD AND THEY HAD 02:20PM 2 PLENTY OF OTHER OPPORTUNITY TO GO OTHER PLACES BESIDES THESE 02:20PM 3 SEVEN COMPANIES. JURORS MIGHT CONCLUDE THAT. 02:20PM 4 JURORS MIGHT SAY THERE WAS AN OVERARCHING CONSPIRACY AND 02:20PM 5 THERE WAS SOME IMPACT, BUT WE DON'T LIKE PLAINTIFFS' DAMAGES 02:20PM 6 MODEL, THAT WE ACTUALLY LISTENED TO WHAT THE DEFENDANTS' 02:21PM 7 EXPERTS, SIX ECONOMISTS, ARE GOING TO SAY, AND WE THINK THAT IT 02:21PM 8 WASN'T \$3 BILLION. WE THINK IT WAS LESS THAN \$1 BILLION. WE 02:21PM 9 THINK IT WAS SOME SMALL FRACTION. 02:21PM 10 THE COURT: WELL THEN, WHY DIDN'T YOU ALL PROPOSE, 02:21PM 11 THEN, A BETTER, MORE ACCURATE, MORE PERSUASIVE DAMAGES MODEL? 02:21PM 12 I MEAN, YOU'RE ALMOST NOW A VICTIM OF YOUR OWN SUCCESS. 02:21PM 13 YOU'RE THE ONES THAT PUT OUT THE 3 BILLION NUMBER. THAT'S WHAT 02:21PM 14 HAS GOTTEN EVERYONE'S EXPECTATIONS SO HIGH. IF YOU ALL HAD NOT 02:21PM 15 BEEN SO AGGRESSIVE WITH YOUR DAMAGES MODEL AND THEORY, PERHAPS 02:21PM 16 WE WOULDN'T BE IN THIS SITUATION, RIGHT? YOU ARE THE ONES WHO 02:21PM 17 HAVE CREATED THE VERY HIGH EXPECTATIONS OF THIS CLASS. 02:21PM 18 MS. DERMODY: WELL, I THINK THAT'S INTERESTING 02:21PM 19 FEEDBACK, YOUR HONOR. 02:21PM 20 WE PUT TOGETHER THE MODEL THAT OUR EXPERT, INDEPENDENTLY, 02:21PM 21 DECIDED WAS THE MODEL TO REFLECT WHAT OUR EXPERT BELIEVED TO BE 02:21PM 22 THE BUT FOR WORLD IF THESE AGREEMENTS HAD NOT EXISTED. THAT 02:21PM 23 WAS OUR EXPERT'S POINT OF VIEW. FULL STOP. 02:22PM 24 WE HAVE TO ACKNOWLEDGE THE RISK THAT A JURY, HEARING A 02:22PM 25 WHOLE BUNCH OF DIFFERENT EXPERTS, EVEN AS WE THINK WE HAVE THE UNITED STATES COURT REPORTERS
26 02:19PM 1 WITH THAT. 02:19PM 2 BUT THEY WOULD HAVE ARGUMENTS ABOUT THAT BECAUSE OUR 02:19PM 3 THEORY OF THE CASE IS OVERARCHING CONSPIRACY. OUR DAMAGES 02:19PM 4 MODEL REFLECTS AN OVERARCHING CONSPIRACY. 02:19PM 5 THE DEFENDANTS WOULD MAKE ARGUMENTS THAT WE HAVE TO 02:19PM 6 CREDIT, YOUR HONOR. 02:19PM 7 I UNDERSTAND THE COURT'S SKEPTICISM BECAUSE THE COURT 02:19PM 8 KNOWS, AS WE KNOW, WHAT WE'VE UNCOVERED IN THIS CASE. 02:19PM 9 THE COURT: I'VE LOOKED AT -- THROUGH ALL THOSE 02:19PM 10 SEALING REQUESTS, I'VE LOOKED AT MUCH OF THESE DOCUMENTS 02:19PM 11 MYSELF, ALL THE E-MAILS, ALL OF THE REPORTS. 02:20PM 12 SO I'M ASKING YOU, HAVING GONE THROUGH A LOT OF THOSE 02:20PM 13 SEALING REQUESTS, WHICH WAS NOT VERY MUCH FUN, AND KNOWING WHAT 02:20PM 14 A LOT OF THE DOCUMENTS ARE IN THIS CASE, YOU REALLY THINK THE 02:20PM 15 DAMAGES WOULD HAVE BEEN ZERO IF THIS HAD GONE TO TRIAL? 02:20PM 16 I MEAN, I JUST FEEL LIKE THAT IS SUCH A STRETCH. 02:20PM 17 MS. DERMODY: WHAT I'M SAYING TO YOU, YOUR HONOR -- 02:20PM 18 THE COURT: YEAH. 02:20PM 19 MS. DERMODY: -- IS THAT THERE IS A RISK. 02:20PM 20 THE COURT: UM-HUM. 02:20PM 21 MS. DERMODY: THERE IS A RISK. THERE'S A RISK THAT A 02:20PM 22 JURY MIGHT FIND THAT THERE WAS NO OVERARCHING CONSPIRACY, AND 02:20PM 23 YET, THEY MIGHT THINK THERE WAS AN IMPACT. 02:20PM 24 A JURY MIGHT FIND THAT THERE WAS AN OVERARCHING CONSPIRACY 02:20PM 25 AND NO IMPACT BECAUSE THE JURY MIGHT CONCLUDE THAT THESE UNITED STATES COURT REPORTERS	28 02:22PM 1 BEST ONE, MIGHT COME TO A DIFFERENT PERSPECTIVE. 02:22PM 2 AND WHILE I WOULD LOVE IT IF I WAS TRYING THIS CASE TO 02:22PM 3 "THE NEW YORK TIMES" EDITORIAL BOARD, THE FACT OF THE MATTER 02:22PM 4 IS, WE WOULD BE TRYING THIS CASE TO THE JURORS THAT ARE HERE 02:22PM 5 AND WE HAVE TO DEAL WITH THE REALITY THAT THOSE JURORS MIGHT 02:22PM 6 NOT SEE IT THE WAY WE SEE IT, OR EVEN HOW YOUR HONOR HAS SEEN 02:22PM 7 THE EVIDENCE. THAT IS JUST A REALITY. 02:22PM 8 SO WHEN WE LOOK AT THOSE THINGS AND WE UNDERSTAND THAT 02:22PM 9 THERE IS SOME RISK AT EACH STEP OF THE WAY THAT WE'RE NOT GOING 02:22PM 10 TO EITHER PREVAIL, OR IF WE PREVAIL, NOT GET THAT AMOUNT OF 02:22PM 11 MONEY, AND WE HAVE IN HAND \$324 AND A HALF MILLION ON TOP OF 20 02:22PM 12 MILLION WE'VE ALREADY RECOVERED, AND WE CAN LOOK AT OTHER CASES 02:22PM 13 THAT HAVE BEEN TRIED IN THIS DISTRICT RECENTLY WHERE PEOPLE GOT 02:22PM 14 LESS THAN WHAT WE'RE GETTING AS A PERCENTAGE OF EXPOSURE -- 02:22PM 15 THE COURT: OKAY. BUT THAT -- YOU KNOW, UNLESS YOU 02:23PM 16 SHOW ME THE DOCUMENTS IN THOSE <u>LCD-TFD</u> CASES, I JUST DON'T 02:23PM 17 THINK THAT'S USEFUL. THAT'S NOT USEFUL. THAT'S A TOTALLY 02:23PM 18 DIFFERENT CASE. 02:23PM 19 MS. DERMODY: BUT THERE WERE 14 GUILTY PLEAS IN THAT 02:23PM 20 CASE. 02:23PM 21 WE HAD NO GUILTY PLEAS HERE. IN SOME WAYS THAT CASE WAS 02:23PM 22 MUCH MORE COMPELLING ON THE EVIDENCE. 02:23PM 23 I MEAN, THEY'RE APPLES AND ORANGES IN SO MANY RESPECTS, 02:23PM 24 YOUR HONOR. 02:23PM 25 BUT I JUST WANT TO SAY THAT -- UNITED STATES COURT REPORTERS

29 02:23PM 1 THE COURT: DO YOU REALLY THINK THAT PRICE FIXING ON 02:23PM 2 TV'S IS MORE COMPELLING THAN THE FACTS OF THIS CASE? 02:23PM 3 MS. DERMODY: WELL, I WILL USE A DIFFERENT CASE THAT, 02:23PM 4 AT LEAST FOR ME, COMPETES WITH THIS ONE FOR BEING COMPELLING, 02:23PM 5 AND THAT'S THE <u>ABBOTT</u> CASE, THE <u>SMITHKLINE BEECHAM</u> CASE THAT 02:23PM 6 WAS BEFORE JUDGE WILKEN THAT WAS A DRUG PRICE FIXING CASE FOR 02:23PM 7 AN AIDS DRUG, AND IN THAT CASE YOU HAVE A HISTORY OF ALLEGED 02:23PM 8 PRACTICE OF PEOPLE ELEVATING -- 02:23PM 9 THE COURT: WELL, I STILL DON'T THINK -- 02:23PM 10 MS. DERMODY: -- THE PRICE OF AN AIDS DRUG. THE JURY 02:23PM 11 GOT -- 02:23PM 12 THE COURT: UNLESS YOU'RE GOING TO GIVE ME ALL THE 02:23PM 13 DOCUMENTATION SO I CAN FAMILIARIZE MYSELF WITH THE FACTS OF 02:23PM 14 THOSE CASES, I JUST DON'T THINK RANDOMLY PULLING OUT OTHER 02:23PM 15 VERDICTS OF OTHER CASES IS REALLY USEFUL. 02:24PM 16 MS. DERMODY: OKAY, YOUR HONOR. I MEAN, IF THERE'S 02:24PM 17 SOMETHING THAT WE COULD SUBMIT TO YOUR HONOR THAT WOULD BE MORE 02:24PM 18 HELPFUL, I WOULD BE REALLY MORE THAN HAPPY TO DO IT. 02:24PM 19 I THINK WHAT WE'RE STRUGGLING WITH IS THAT THE STANDARD 02:24PM 20 HERE IS NOT, YOU KNOW, WHAT MIGHT BE THE BEST POSSIBLE 02:24PM 21 SCENARIO. 02:24PM 22 THE STANDARD HERE IS SORT OF THE RANGE OF REASONABLENESS 02:24PM 23 BASED ON THE RISK IN THIS CASE. AND FROM OUR PERSPECTIVE, AS 02:24PM 24 PEOPLE THAT LIVED AND BREATHED AND SWEATED AND SACRIFICED FOR 02:24PM 25 THIS CASE, AND JUST 100 PERCENT DID EVERYTHING WE COULD FOR UNITED STATES COURT REPORTERS	31 02:25PM 1 RESULTS IN THOSE CASES SO YOUR HONOR CAN SEE THEM. 02:25PM 2 AND I THINK WHAT IS INTERESTING IS TO LOOK AT EVEN THE 02:25PM 3 <u>EBAY</u> CASE, WHICH THE CALIFORNIA ATTORNEY GENERAL'S OFFICE 02:25PM 4 PROSECUTED, SOME OF THE BEST LAWYERS IN THE STATE ARE IN THAT 02:25PM 5 OFFICE, REALLY SMART, TALENTED PEOPLE, AND THE RECOVERY IN THAT 02:25PM 6 CASE WAS 1/23RD OF WHAT WE GOT HERE, AND THIS IS 20 -- I SHOULD 02:25PM 7 SAY THIS IS 23 TIMES WHAT THEY GOT THERE. 02:26PM 8 THESE -- 02:26PM 9 THE COURT: WELL, UNLESS YOU'RE GOING TO SHOW ME THE 02:26PM 10 DOCUMENTS IN THAT CASE -- I DON'T BELIEVE THERE WAS CLASS CERT 02:26PM 11 IN THAT CASE. I DON'T BELIEVE THERE WAS SUMMARY JUDGMENT IN 02:26PM 12 THAT CASE. I DON'T THINK IT HAD GONE THROUGH THE DAUBERT 02:26PM 13 MOTIONS IN THAT CASE. 02:26PM 14 BUT REGARDLESS, I DON'T FIND IT VERY HELPFUL, UNLESS 02:26PM 15 YOU'RE REALLY GOING TO GIVE ME DEEP INFORMATION ABOUT THOSE 02:26PM 16 CASES, TO SAY, "ALL OF THESE OTHER CASES, BECAUSE I'VE SLAPPED 02:26PM 17 ANTITRUST LABELS ON THEM, ARE COMPARABLE TO THIS." 02:26PM 18 BECAUSE IF WE'RE JUST GOING TO TALK ABOUT RANDOM TRIALS, I 02:26PM 19 CAN DO THAT, TOO. I JUST DON'T THINK -- UNLESS WE GO DEEPLY 02:26PM 20 INTO WHAT THE FACTS ARE TO REALLY SEE IF IT'S COMPARABLE OR 02:26PM 21 NOT, IT'S TOO GENERAL, I THINK. 02:26PM 22 MS. DERMODY: OKAY, YOUR HONOR. WHAT WOULD BE 02:26PM 23 HELPFUL TO THE COURT? 02:26PM 24 THE COURT: SO EXPLAIN TO ME -- I MEAN, YOUR POSITION 02:26PM 25 APPEARS TO BE THAT IF ONE DEFENDANT WAS NOT FOUND TO HAVE UNITED STATES COURT REPORTERS
30 02:24PM 1 THESE CLASS MEMBERS -- I MEAN, HONESTLY, YOUR HONOR, WE HAVE 02:24PM 2 DONE EVERYTHING WE COULD TO DO THIS CASE RIGHT -- WE BELIEVE 02:24PM 3 THAT THIS IS THE RIGHT THING TO DO FOR THE CLASS. 02:24PM 4 WE THINK IT WOULD BE ABSOLUTELY UNETHICAL FOR US TO SEE 02:24PM 5 THAT THERE WAS THIS MUCH MONEY AVAILABLE FOR THE CLASS ON THESE 02:24PM 6 CLAIMS AND TO IGNORE THAT AND GO TO TRIAL KNOWING THAT THERE 02:24PM 7 MIGHT BE A VERY STRONG RISK THAT THE CLASS GETS NOTHING. 02:24PM 8 THAT DID NOT SEEM AT ALL TENABLE TO US, YOUR HONOR, AND WE 02:24PM 9 JUST HAVE PROVIDED THE COURT VARIOUS BENCHMARKS WE THOUGHT 02:25PM 10 WOULD BE USEFUL TO SEE THAT THIS RISK IS SOMETHING THAT OTHER 02:25PM 11 GOOD LAWYERS, OTHER EXPERIENCED LAWYERS HAVE COME TO SIMILAR 02:25PM 12 RISK CALCULATIONS. 02:25PM 13 I MEAN, ONE OF THE MOST INTERESTING COMPARISONS, PERHAPS 02:25PM 14 TO US ONLY, IS WHAT WE PUT FORWARD IN THAT -- 02:25PM 15 THE COURT: WASN'T THE <u>LCD-TFT</u> YOUR CASE? WASN'T 02:25PM 16 THAT LEIFF CABRASER? 02:25PM 17 MS. DERMODY: IT WAS OUR CASE. 02:25PM 18 THE COURT: OKAY. WHICH ONE, THE <u>TOSHIBA</u> OR <u>BEST BUY</u> 02:25PM 19 <u>VERSUS HANNSTAR</u> -- 02:25PM 20 MS. DERMODY: <u>TOSHIBA</u>. WE TRIED THAT CASE, YOUR 02:25PM 21 HONOR. 02:25PM 22 THE COURT: UM-HUM. 02:25PM 23 MS. DERMODY: AND IN EXHIBIT A TO OUR REPLY BRIEF, WE 02:25PM 24 PUT FORWARD ALL OF THE ANTITRUST EMPLOYEE CLASS ACTIONS THAT WE 02:25PM 25 COULD FIND, AND WE PUT FORWARD WHAT WE UNDERSTAND TO BE THE UNITED STATES COURT REPORTERS	32 02:27PM 1 PARTICIPATED IN THE OVERARCHING CONSPIRACY, THEN DAMAGES WOULD 02:27PM 2 HAVE BEEN ZERO AND THE CLASS WOULD HAVE GOTTEN NOTHING. 02:27PM 3 BUT I DON'T THINK THAT'S TRUE. YOU ALSO WOULD HAVE THE 02:27PM 4 LEVERAGE TO APPEAL OR, YOU KNOW, THERE WOULD HAVE BEEN ANOTHER 02:27PM 5 SETTLEMENT. IT JUST WOULD HAVE BEEN LATER IN THE PROCESS. 02:27PM 6 MS. DERMODY: SO -- 02:27PM 7 THE COURT: AND YOUR LEVERAGE -- ANYWAY, I JUST HAVE 02:27PM 8 CONCERNS ABOUT WHETHER THIS IS REALLY FAIR TO THE CLASS, AND I 02:27PM 9 HAVEN'T MADE A DECISION YET ABOUT WHAT I'M GOING TO DO. I'D 02:27PM 10 LIKE TO THINK ABOUT IT FURTHER. 02:27PM 11 BUT I DO HAVE A CONCERN ABOUT WHETHER THIS IS A SUFFICIENT 02:27PM 12 RECOVERY FOR THE CLASS. I -- YOU KNOW, I AM NOT AT ALL SAYING 02:27PM 13 THAT THE PLAINTIFFS HAVEN'T BEEN ZEALOUS ADVOCATES IN DOING 02:27PM 14 EVERYTHING POSSIBLE FOR THE CLASS, BUT I JUST DO HAVE A 02:27PM 15 QUESTION AND I NEED TO THINK ABOUT IT FURTHER. 02:27PM 16 MS. DERMODY: OKAY, YOUR HONOR. 02:27PM 17 THE COURT: SO IF THERE'S NOTHING MORE THAT YOU WANT 02:28PM 18 TO SAY? 02:28PM 19 NOW, YOU'RE GOING FOR \$81 MILLION. WHAT'S YOUR LODESTAR, 02:28PM 20 AND WHY SHOULD THAT GO TO YOU INSTEAD OF THE CLASS? 02:28PM 21 MS. DERMODY: YOUR HONOR, ALL WE'VE SAID IS TO NOTICE 02:28PM 22 THE CLASS THAT WE MIGHT REQUEST UP TO THAT. LAST TIME WE 02:28PM 23 NOTICED THE CLASS AND WE REQUESTED LESS THAN WHAT WE NOTICED. 02:28PM 24 IT'S THE BENCHMARK IN THE NINTH CIRCUIT. WE WOULD THINK 02:28PM 25 IT WOULD BE WARRANTED HERE GIVEN THE WORK IN THIS CASE. UNITED STATES COURT REPORTERS

	33	
02:28PM	1	THE COURT: WHAT'S YOUR LODESTAR? BECAUSE FROM THE
02:28PM	2	FIRST SETTLEMENT, IT LOOKED LIKE LEIFF CABRASER'S WAS, WHAT,
02:28PM	3	ABOUT 8 MILLION THROUGH OCTOBER OF, YOU KNOW, OCTOBER 30TH OF
02:28PM	4	2013, 8.4 MILLION.
02:28PM	5	SO WHAT'S THE LODESTAR IF YOU ADD UP ALL THE DIFFERENT LAW
02:28PM	6	FIRMS THAT ARE INVOLVED IN THIS LITIGATION?
02:28PM	7	MS. DERMODY: I DON'T HAVE THAT INFORMATION FOR YOUR
02:28PM	8	HONOR. I'M SORRY.
02:28PM	9	THE COURT: ALL RIGHT. SO FOR THE FIRST SETTLEMENT,
02:28PM	10	NOBODY LOOKED AT THAT FOR THE SETTLEMENT WITH LUCAS FILM,
02:28PM	11	PIXAR, AND INTUIT?
02:28PM	12	MS. DERMODY: I JUST DON'T HAVE THE NUMBERS HANDY FOR
02:28PM	13	YOUR HONOR. I'M SORRY. I DON'T WANT TO MISLEAD THE COURT.
02:29PM	14	THE COURT: OKAY. WELL, YOU KNOW, MR. SAVERI SAID
02:29PM	15	THAT HE WOULD FILE HIS FEES DOCUMENTS FOR THE FIRST SETTLEMENT.
02:29PM	16	I DON'T BELIEVE I GOT THAT.
02:29PM	17	WHAT ARE YOUR LAW FIRM'S -- WHAT'S YOUR LAW FIRM'S --
02:29PM	18	MR. SAVERI: AS OF THE TIME OF THAT, OF THE PRIOR
02:29PM	19	SETTLEMENT, MY FIRM'S LODESTAR WAS APPROXIMATELY \$4 MILLION.
02:29PM	20	THE COURT: OKAY. SO -- AND I BELIEVE THAT
02:29PM	21	SETTLEMENT WAS REACHED IN, WHAT, APRIL OF 2013? IS THAT
02:29PM	22	SOMEWHERE AROUND THERE? OR, NO, WHEN WAS THAT? SEPTEMBER?
02:29PM	23	MS. DERMODY: IT WAS APPROVED IN OCTOBER, YOUR HONOR.
02:29PM	24	THE COURT: RIGHT. BUT I -- I GUESS I'M TRYING TO
02:29PM	25	FIGURE OUT, YOU'RE SAYING UP TO THE POINT OF SETTLEMENT, SO
		UNITED STATES COURT REPORTERS

	34	
02:29PM	1	WHAT LINE ARE YOU DRAWING HERE? WHAT'S THE DATE,
02:29PM	2	APPROXIMATELY?
02:29PM	3	MR. SAVERI: I BELIEVE IT WAS OCTOBER OF LAST YEAR.
02:29PM	4	THE COURT: OKAY. SO THROUGH -- ALSO THROUGH SOME
02:29PM	5	POINT IN OCTOBER?
02:29PM	6	MR. SAVERI: YEAH.
02:29PM	7	THE COURT: OKAY.
02:29PM	8	MR. SAVERI: AND, YOUR HONOR, SINCE THAT POINT IN
02:29PM	9	TIME, I MEAN, WE DID A LOT OF ADDITIONAL WORK IN THE CASE.
02:29PM	10	THE COURT: SURE.
02:29PM	11	MR. SAVERI: THE LIEFF CABRASER FOLKS DID A LOT OF
02:29PM	12	WORK.
02:29PM	13	THE COURT: SURE.
02:29PM	14	MR. SAVERI: MY OFFICE DID. SO THERE'S ADDITIONAL
02:29PM	15	LODESTAR. I JUST WANT TO BE --
02:29PM	16	THE COURT: YES, I COMPLETELY UNDERSTAND THAT.
02:29PM	17	BUT YOU HAVE NO IDEA WITH REGARD TO -- I BELIEVE THERE
02:30PM	18	ARE, WHAT, AT LEAST THREE OTHER LAW FIRMS?
02:30PM	19	MS. DERMODY: TWO OTHER FIRMS, YOUR HONOR.
02:30PM	20	THE COURT: TWO OTHER FIRMS.
02:30PM	21	MR. SAVERI: I THINK IT'S FAIR TO SAY THAT BETWEEN
02:30PM	22	THE TWO OF US, WE HAVE THE GREAT MAJORITY OF THE TIME IN THIS
02:30PM	23	CASE.
02:30PM	24	THE COURT: SURE, SURE.
02:30PM	25	MR. SAVERI: I MEAN, AND THAT'S CONSISTENT WITH WHAT
		UNITED STATES COURT REPORTERS

	35	
02:30PM	1	YOU'VE SEEN IN THE CASE.
02:30PM	2	MS. DERMODY: YEAH. WE CAN GET THE ACTUAL NUMBER.
02:30PM	3	WE HAVE THEIRS.
02:30PM	4	THE COURT: OKAY. THE SETTLEMENT AGREEMENT SAYS THE
02:30PM	5	DEFENDANTS TAKE NO POSITION ON THE SERVICE AWARDS IF THE AWARDS
02:30PM	6	ARE \$25,000 OR LESS.
02:30PM	7	NOW, THE PROPOSED SERVICE AWARDS ARE 80,000. DOES THAT
02:30PM	8	MEAN THE DEFENDANTS ARE GOING TO TAKE A POSITION? OR YOU'RE
02:30PM	9	GOING TO REMAIN SILENT?
02:30PM	10	MR. VAN NEST: WE'RE GOING TO REMAIN SILENT, YOUR
02:30PM	11	HONOR.
02:30PM	12	THE COURT: OKAY.
02:30PM	13	MR. VAN NEST: THAT'S UP TO YOUR HONOR'S DISCRETION.
02:30PM	14	THE COURT: OKAY.
02:30PM	15	MR. VAN NEST: I WOULD LIKE TO COMMENT ON THE
02:30PM	16	SETTLEMENT OVERALL WHEN YOUR HONOR GETS TO US THOUGH.
02:30PM	17	THE COURT: ACTUALLY, WHY DON'T WE GO AHEAD AND DO
02:30PM	18	THAT NOW? I HAVE SOME OTHER MORE MECHANICAL QUESTIONS ABOUT
02:30PM	19	THE SETTLEMENT. THOSE CAN WAIT.
02:31PM	20	MR. VAN NEST: SURE.
02:31PM	21	THE COURT: SO -- YEAH.
02:31PM	22	MR. VAN NEST: JUST A COUPLE OF QUICK POINTS.
02:31PM	23	THE COURT: YES.
02:31PM	24	MR. VAN NEST: I THINK YOUR HONOR STARTED WITH THE
02:31PM	25	PREMISE SOMEHOW THAT THE SETTLING DEFENDANTS HERE ARE PAYING A
		UNITED STATES COURT REPORTERS

	36	
02:31PM	1	HIGHER PERCENTAGE THAN THE EARLIER -- A LOWER PERCENTAGE.
02:31PM	2	WE DON'T LOOK AT IT THAT WAY AT ALL.
02:31PM	3	THE COURT: OKAY.
02:31PM	4	MR. VAN NEST: AS A MATTER OF FACT, WE THINK WE'RE
02:31PM	5	PAYING A PREMIUM IN THAT IF YOU LOOK AT THE SETTLEMENTS THAT
02:31PM	6	YOU'VE ALREADY APPROVED, YOU APPROVED \$20 MILLION SETTLEMENTS.
02:31PM	7	THAT'S ABOUT 8 PERCENT OF THE CLASS.
02:31PM	8	I MEAN, IF YOU DO THE MATH, OUR SETTLEMENT SHOULD HAVE
02:31PM	9	BEEN BELOW \$300 MILLION. I MEAN, IF IT'S JUST COMPARABLE, IF
02:31PM	10	WE'RE JUST PAYING WHAT, THE SAME BASIS THAT THAT 20 MILLION
02:31PM	11	PAID, WE WOULD HAVE BEEN IN THE 250 TO 270 TO 280 RANGE.
02:31PM	12	AND BELIEVE ME, AS I THINK YOU KNOW --
02:31PM	13	THE COURT: HOW ARE YOU CALCULATING THAT?
02:31PM	14	MR. VAN NEST: OH, IF YOU JUST -- IF 8 PERCENT OF THE
02:31PM	15	CLASS IS WORTH 20 MILLION, WHAT'S THE OTHER 92 PERCENT WORTH?
02:31PM	16	IT'S NOT 324 MILLION. IT'S A NUMBER SOUTH OF 300.
02:31PM	17	SO OUR POINT IS, AND WE MADE IT REPEATEDLY IN DISCUSSIONS
02:32PM	18	WITH PLAINTIFFS, THAT, YOU KNOW, WE'RE PAYING MORE -- AT THE
02:32PM	19	NUMBERS WE'RE NEGOTIATING NOW, WE'RE PAYING MORE THAN THE FOLKS
02:32PM	20	THAT SETTLED OUT EARLIER, AND IN OUR SITUATION, WE FELT THAT
02:32PM	21	THE BIGGEST RISK IN THIS CASE WAS THE TRIAL ITSELF.
02:32PM	22	AND IF I COULD MAKE JUST A COUPLE OF POINTS ABOUT THIS
02:32PM	23	TRIAL, YOUR HONOR, THAT I THINK ARE SIGNIFICANT?
02:32PM	24	THE COURT: OKAY.
02:32PM	25	MR. VAN NEST: IT IS TRUE THAT DR. LEAMER BASED HIS
		UNITED STATES COURT REPORTERS

37 02:32PM 1 DAMAGE MODEL ON AN ALL-IN APPROACH. IT WAS ALL SEVEN 02:32PM 2 DEFENDANTS PARTICIPATING. IF YOU TOOK OUT ONE OR MORE 02:32PM 3 DEFENDANTS, HIS MODEL FELL APART AND IN SOME CASES SHOWED THAT 02:32PM 4 SOME DEFENDANTS HAD OVERCOMPENSATED PEOPLE. 02:32PM 5 IN OTHER WORDS, HIS MODEL ONLY WORKED -- AND HE CONCEDED 02:32PM 6 THIS, WE'D BE HAPPY TO SUBMIT A SHORT BRIEF ON IT -- HE 02:32PM 7 CONCEDED THAT HIS MODEL WOULDN'T WORK IF NOT ALL DEFENDANTS 02:32PM 8 WERE FOUND TO BE PARTICIPANTS. 02:33PM 9 NOW, YOUR HONOR RECOGNIZES, AND COUNSEL SAID IT IN HER 02:33PM 10 BRIEF, THAT OBVIOUSLY THESE BILATERAL AGREEMENTS WERE ENTERED 02:33PM 11 INTO OVER A WIDE PERIOD OF TIME, SOME IN DIFFERENT INDUSTRIES, 02:33PM 12 AND SO ONE OF THE BIG RISKS IN THE TRIAL WAS THAT ONE DEFENDANT 02:33PM 13 WOULD BE OUT. 02:33PM 14 THE COURT: YES. 02:33PM 15 MR. VAN NEST: THE OTHER BIG RISK -- 02:33PM 16 THE COURT: OKAY. BUT LET'S PLAY THAT OUT. SO WHAT 02:33PM 17 WOULD HAVE HAPPENED? YOU DON'T THINK THE JURORS, ONE 02:33PM 18 POSSIBILITY COULD HAVE BEEN TO TAKE OUT OF DR. LEAMER'S DAMAGES 02:33PM 19 MODEL, OR SOME PERCENTAGE OF THAT MODEL, TAKE OUT THAT 02:33PM 20 PERCENTAGE OF THAT DEFENDANT'S EMPLOYEES? OR YOU'RE SAYING 02:33PM 21 THAT -- YOU'RE SAYING THE JURY COULD HAVE COME UP WITH NOTHING? 02:33PM 22 MR. VAN NEST: YEAH. 02:33PM 23 THE COURT: IF THEY DIDN'T ACCEPT IT WHOLE HOG, THEY 02:33PM 24 WOULD COME UP WITH ZERO? 02:33PM 25 MR. VAN NEST: TWO THINGS. UNITED STATES COURT REPORTERS	39 02:34PM 1 BUT I THINK EVEN IF I HADN'T -- 02:34PM 2 THE COURT: YOU WOULD HAVE A JMOL MOTION? 02:34PM 3 MR. VAN NEST: I WOULD HAVE A GOOD MOTION UNDER 02:34PM 4 <u>COMCAST</u>. 02:34PM 5 NOW, I DON'T, FRANKLY, THINK THAT THAT'S THE BIGGEST RISK. 02:34PM 6 THE COURT: YEAH. 02:34PM 7 MR. VAN NEST: I'LL TELL YOU, I THINK THE BIGGEST 02:34PM 8 RISK IN THIS CASE -- 02:34PM 9 THE COURT: YEAH. 02:34PM 10 MR. VAN NEST: -- IS THAT THEY HAD A HUGE NUMBER, 02:34PM 11 \$3 BILLION, AND THE FACTS ON THE GROUND WERE THAT TECH 02:34PM 12 EMPLOYEES IN THE CLASS WERE PAID WAY ABOVE BOTH THE NATIONAL 02:34PM 13 AND THE REGIONAL AVERAGE, AND THEIR PAY WENT UP, NOT BY A 02:34PM 14 LITTLE, BUT EVERY YEAR IT WENT UP BY MORE THAN IT HAD EITHER 02:35PM 15 BEFORE OR AFTER THE CLASS PERIOD. 02:35PM 16 SO THERE'S A VERY STRONG ARGUMENT THAT THAT \$3 BILLION 02:35PM 17 NUMBER EVERYBODY IS TALKING ABOUT WAS ABSOLUTELY INCONSISTENT 02:35PM 18 WITH THE FACTS ON THE GROUND. 02:35PM 19 AND WHY DO YOU THINK THAT HE COULD HAVE -- 02:35PM 20 THE COURT: BUT YOU'RE COMPARING THEM, WHAT, LIKE THE 02:35PM 21 PLAINTIFFS JUST TO THE AVERAGE INCOME IN SANTA CLARA COUNTY? 02:35PM 22 MR. VAN NEST: NO, NO, NO, NO. 02:35PM 23 THE COURT: BECAUSE THAT'S WHAT THEY DO IN THEIR 02:35PM 24 REPLY BRIEF. 02:35PM 25 MR. VAN NEST: THEY DO. UNITED STATES COURT REPORTERS
38 02:33PM 1 THE COURT: IS THAT -- I JUST WANT TO KNOW -- 02:33PM 2 MR. VAN NEST: YEAH. 02:33PM 3 THE COURT: -- WHAT ARE YOU SAYING? 02:33PM 4 MR. VAN NEST: ABSOLUTELY. 02:33PM 5 THE COURT: IF THE JURY FOUND THAT ONE, THEY WOULD GO 02:33PM 6 WITH ZERO? BECAUSE I -- I FIND THAT A LITTLE BIT DIFFICULT TO 02:33PM 7 BELIEVE. 02:33PM 8 MR. VAN NEST: I DON'T. 02:33PM 9 THE COURT: YOU THINK THAT THE JURY WOULD COME UP 02:33PM 10 WITH ZERO? 02:33PM 11 MR. VAN NEST: BUT HERE'S THE POINT. THEY HAD AN 02:33PM 12 EXPERT REPORT THAT WAS ONE FLAVOR. 02:33PM 13 THE COURT: UM-HUM. 02:33PM 14 MR. VAN NEST: ALL SEVEN IN, HERE'S THE NUMBER. 02:34PM 15 THE COURT: UM-HUM. 02:34PM 16 MR. VAN NEST: DR. LEAMER CONCEDED, IN DEPOSITION, 02:34PM 17 "IF YOU TAKE ONE DEFENDANT OUT, MY MODEL DOESN'T WORK." 02:34PM 18 THEY THEN -- WE THEN WOULD BE ARGUING TO YOUR HONOR, UNDER 02:34PM 19 <u>COMCAST</u> AND ALL THE RECENT SUPREME COURT CASES, THAT THEY DON'T 02:34PM 20 HAVE A DAMAGE MODEL TO GIVE TO THE JURY TO PRODUCE ANYTHING 02:34PM 21 OTHER THAN SPECULATION. 02:34PM 22 THE COURT: UM-HUM. 02:34PM 23 MR. VAN NEST: SO DO I THINK I HAD A CHANCE TO 02:34PM 24 PERSUADE THE JURY, GIVEN THAT, THAT THEY SHOULDN'T AWARD 02:34PM 25 DAMAGES BECAUSE THERE WASN'T A BASIS? YOU BET I DO. UNITED STATES COURT REPORTERS	40 02:35PM 1 THE COURT: THEY JUST SAY, WELL, SANTA CLARA COUNTY, 02:35PM 2 AVERAGE INCOME IS THIS; THEREFORE, THERE WOULD HAVE BEEN A LOT 02:35PM 3 OF RESENTMENT THAT THESE ARE TECH WORK WORKERS THAT ARE MAKING 02:35PM 4 MORE THAN THE AVERAGE INCOME. 02:35PM 5 MR. VAN NEST: WHAT WE SAID IN OUR DAUBERT -- 02:35PM 6 THE COURT: YEAH. 02:35PM 7 MR. VAN NEST: -- WAS THAT THEY ARE ABOVE THE 02:35PM 8 NATIONAL AND THE REGIONAL AVERAGE FOR TECH WORKERS. IF YOU 02:35PM 9 LOOK AT TECH WORKERS ON AVERAGE, IN THE NATION OR REGIONALLY 02:35PM 10 HERE, THESE CLASS MEMBERS WERE PAID WAY -- I'M NOT TALKING 1 OR 02:35PM 11 2 PERCENT -- BUT WAY ABOVE THAT AVERAGE AND THEIR PAY WENT UP. 02:35PM 12 THE COURT: BUT ISN'T THIS WHERE YOU COME IF YOU ARE 02:35PM 13 A TOP TECH WORKER? 02:35PM 14 MR. VAN NEST: SURE. 02:35PM 15 THE COURT: WOULDN'T YOU BE IN SILICON VALLEY -- 02:35PM 16 MR. VAN NEST: ABSOLUTELY. 02:35PM 17 THE COURT: -- VERSUS IN BROKEN ARROW, OKLAHOMA? 02:36PM 18 MR. VAN NEST: SURE. MY POINT IS THAT THEIR WHOLE 02:36PM 19 CASE WAS PREMISED ON SOMEHOW PAY BEING SUPPRESSED; AND, YET, IN 02:36PM 20 THE CLASS PERIOD, PAY WENT UP MORE EVERY YEAR THAN IT HAD GONE 02:36PM 21 UP BEFORE OR AFTER. 02:36PM 22 THE COURT: BUT THE THEORY IS IT COULD HAVE GONE UP 02:36PM 23 EVEN MORE. 02:36PM 24 MR. VAN NEST: SURE. 02:36PM 25 THE COURT: AND I DON'T THINK THAT'S INCONSISTENT UNITED STATES COURT REPORTERS

41 02:36PM 1 WITH SAYING TECH WORKERS HERE MAKE MORE THAN TECH WORKERS IN 02:36PM 2 ALABAMA, MAINE, WHEREVER YOU WANT TO TALK ABOUT IT, AND THAT 02:36PM 3 THEIR SALARIES COULD HAVE BEEN EVEN HIGHER. 02:36PM 4 MR. VAN NEST: BUT YOU AND I -- 02:36PM 5 THE COURT: I JUST DON'T THINK THAT'S INCONSISTENT. 02:36PM 6 MR. VAN NEST: BUT HOW MUCH DO YOU WANT TO GAMBLE ON 02:36PM 7 THAT? I MEAN, THERE HAVE BEEN A LOT OF BILLION DOLLAR CLAIMS 02:36PM 8 MADE IN OUR DISTRICT -- 02:36PM 9 THE COURT: WELL, HOW MUCH DID YOU ALL WANT TO GAMBLE 02:36PM 10 WITH ALL OF THAT INFORMATION COMING OUT? HOW MUCH DID YOU ALL 02:36PM 11 WANT TO GO TO TRIAL ON THIS? 02:36PM 12 MR. VAN NEST: WE BELIEVE -- 02:36PM 13 THE COURT: I MEAN, YOU'VE SEEN HOW OUR JURY POOLS 02:36PM 14 ARE HERE IN SAN JOSE. I THINK THEY WOULD HAVE FOUND THESE 02:36PM 15 DOCUMENTS VERY SIGNIFICANT AND PRETTY COMPELLING. 02:36PM 16 MR. VAN NEST: I'M NOT DISAGREEING WITH THAT. 02:36PM 17 THE COURT: THEY WOULD HAVE FOUND A LOT OF THE 02:36PM 18 TESTIMONY VERY COMPELLING. THEY WOULD HAVE FOUND A LOT OF THE 02:36PM 19 E-MAILS VERY COMPELLING. 02:37PM 20 HOW MUCH -- YOU KNOW, I UNDERSTAND WE'RE ALL FOCUSED ON 02:37PM 21 HOW MUCH THE PLAINTIFFS DIDN'T WANT TO GO TO TRIAL. 02:37PM 22 LET'S TALK ABOUT HOW MUCH THE DEFENDANTS DIDN'T WANT TO GO 02:37PM 23 TO TRIAL. HOW MUCH WAS THAT WORTH? 02:37PM 24 MR. VAN NEST: YOU CAN PRICE IT. 02:37PM 25 THE COURT: HOW COME YOU'RE NOT REALLY FOCUSING ON UNITED STATES COURT REPORTERS	43 02:38PM 1 LITTLE BIT ON THE DAMAGES SIDE IN THE DAUBERTS. 02:38PM 2 BUT THE REAL RISK IN THE CASE WAS -- 02:38PM 3 THE COURT: WELL, THE DAMAGES ALSO CAME UP A LOT IN 02:38PM 4 THE TWO CLASS CERT ISSUES -- MOTIONS, EXCUSE ME. 02:38PM 5 MR. VAN NEST: TO SOME DEGREE, THEY DID. 02:38PM 6 THE COURT: YEAH. 02:38PM 7 MR. VAN NEST: BUT THAT'S WHERE THERE'S A HUGE RANGE 02:38PM 8 OF RISK, WHICH IS WHY I SAY THE NUMBER THAT WE ACHIEVED IS 02:38PM 9 ABSOLUTELY IN LINE, AND A LITTLE BETTER FOR THE PLAINTIFFS, 02:38PM 10 THAN THE NUMBER THAT WAS ACHIEVED IN THE FIRST SETTLEMENT. 02:38PM 11 SO GIVEN -- GIVEN THAT THAT'S 8 TO 10 PERCENT OF THE CLASS 02:39PM 12 THAT PAID \$20 MILLION, IT IS ABSOLUTELY FAIR AND REASONABLE FOR 02:39PM 13 THE REST OF THE -- FOR THE DEFENDANTS EMPLOYING THE REST OF THE 02:39PM 14 CLASS TO PAY THE 324.5 MILLION. IT'S IN LINE WITH IT, IT'S A 02:39PM 15 PREMIUM OVER IT, AND MAYBE THAT'S CONSISTENT WITH THE FACT THAT 02:39PM 16 THE CASE WAS A LITTLE MORE WELL DEVELOPED BY THE TIME IT GOT 02:39PM 17 THERE. 02:39PM 18 BUT I DO THINK THAT WHAT COUNSEL HAS SAID ABOUT THE RISK 02:39PM 19 OF A NO OR LOW VERDICT IS -- CANNOT BE IGNORED OR OVERLOOKED IN 02:39PM 20 THIS CASE GIVEN THE ECONOMIC FACTS ON THE GROUND, AND GIVEN 02:39PM 21 THAT EVEN YOUR HONOR RECOGNIZED THAT DR. LEAMER'S RESULTS AT 02:39PM 22 THAT T-SCORE WEREN'T STATISTICALLY SIGNIFICANT BY ANY MEASURE 02:39PM 23 THAT ANY ECONOMIST, MATHEMATICIAN, OR SCIENTIST HAS EVER 02:39PM 24 APPROVED. 02:39PM 25 AND ALTHOUGH THAT PASSED DAUBERT, IT MIGHT NOT PASS A JURY UNITED STATES COURT REPORTERS
42 02:37PM 1 THAT? 02:37PM 2 MR. VAN NEST: WE PRICED IT. IT'S \$324.5 MILLION. 02:37PM 3 IN OTHER WORDS, GIVEN ALL THE RISKS AND GIVEN MONTHS OF 02:37PM 4 WORK WITH JUDGE PHILLIPS, THAT'S WHAT WE -- THAT'S WHAT WE 02:37PM 5 CONCLUDED. 02:37PM 6 THE COURT: IT'S NOT JUST FINANCIAL RISKS. IT'S 02:37PM 7 OTHER DAMAGE THAT YOUR COMPANIES WOULD GET IN TRYING TO RECRUIT 02:37PM 8 OTHER EMPLOYEES AND WHAT THAT WOULD DO TO YOUR IMAGE, TO YOUR 02:37PM 9 GOOD WILL. I MEAN, IT WOULD HAVE HAD A LOT OF COST OTHER THAN 02:37PM 10 JUST STRICTLY MONETARY. 02:37PM 11 MR. VAN NEST: I'M NOT DENYING THAT ONE BIT. 02:37PM 12 BUT YOUR HONOR'S QUESTION, WHAT'S IT WORTH TO US, WE PUT 02:37PM 13 OUR MONEY WHERE OUR MOUTH IS, RIGHT? WE NEGOTIATED FOR A 02:37PM 14 SETTLEMENT AND ACHIEVED A SETTLEMENT THAT IS FAIR AND 02:37PM 15 REASONABLE TO THE CLASS IN LIGHT OF ALL THE RISKS. 02:37PM 16 I'M JUST POINTING OUT THAT THERE ARE LOTS OF RISKS ON THE 02:38PM 17 PLAINTIFFS' SIDE THAT MEAN THERE'S A REAL POSSIBILITY OF EITHER 02:38PM 18 A LOW VERDICT OR NO VERDICT OR A VERDICT THAT DOESN'T REACH THE 02:38PM 19 SETTLEMENT THAT WE'VE ACHIEVED. 02:38PM 20 FOR EXAMPLE, FOR EXAMPLE, WE ALL KNOW THAT YOU CAN COME 02:38PM 21 INTO COURT WITH A BILLION DOLLAR CLAIM AND END UP WITH A LOT 02:38PM 22 LESS MONEY, RIGHT? I MEAN, THAT HAPPENS ALL THE TIME. 02:38PM 23 AND IN THIS PARTICULAR CASE, THE FOCUS THAT YOUR HONOR 02:38PM 24 HAD, BECAUSE THAT'S WHAT WAS PRESENTED, WAS ON THE LIABILITY 02:38PM 25 SIDE, WE HAD SUMMARY JUDGMENT MOTIONS AND ALL THAT, AND A UNITED STATES COURT REPORTERS	44 02:39PM 1 TO HEAR THAT THIS GUY'S REPORT -- WHICH IS THE ONLY THING THAT 02:40PM 2 GIVES THEM A NUMBER -- WAS NOT STATISTICALLY SIGNIFICANT BY ANY 02:40PM 3 TRADITIONAL MEASURE OF SIGNIFICANCE IN ANY SORT OF SCIENTIFIC, 02:40PM 4 ACADEMIC, MATHEMATIC, OR EVEN INDUSTRIAL COMMUNITY. 02:40PM 5 AND THAT WAS A HUGE, SIGNIFICANT FACT FOR US FOR 02:40PM 6 PRESENTATION TO THE JURY AND, FRANKLY, THE ONLY -- THE ONLY 02:40PM 7 EVIDENCE, IF YOU WANT TO CALL IT THAT, THEY HAD OF THAT NUMBER 02:40PM 8 WAS DR. LEAMER'S OPINION. 02:40PM 9 THERE WASN'T ANY OTHER INTRINSIC EVIDENCE THAT LEADS TO 02:40PM 10 THAT NUMBER. THE INTRINSIC EVIDENCE LEADS TO A SHOWING THAT I 02:40PM 11 MENTIONED OF PAY GOING UP AND BEING ABOVE AVERAGE. 02:40PM 12 SO IF HE DOESN'T HAVE A SIGNIFICANTLY SIGNIFICANT RESULT, 02:40PM 13 WOULD YOU HANG YOUR HAT ON A JURY TRIAL IN THAT SITUATION WHEN 02:40PM 14 YOU HAVE ONE EXPERT PRESENTING DAMAGES WHOSE T-SCORE IS HIGHER 02:40PM 15 THAN ANY OTHER COURT OR VERDICT THAT WE WERE ABLE TO FIND HAS 02:40PM 16 EVER SUPPORTED? 02:40PM 17 I MEAN, THAT'S ANOTHER FACTOR, I THINK, THAT CAUSED, YOU 02:41PM 18 KNOW, THE PARTIES TO COME WHERE THEY DID. 02:41PM 19 NOW, I WILL SAY THAT THIS SETTLEMENT WAS ACHIEVED OVER A 02:41PM 20 QUITE LONG PERIOD OF TIME. IT STARTED WITH MEETINGS, BUT IT 02:41PM 21 CONTINUED FOR MONTHS WITH JUDGE PHILLIPS ACTIVELY INVOLVED AND 02:41PM 22 JUDGE PHILLIPS GUIDING THE PARTIES TO WHERE WE ULTIMATELY ENDED 02:41PM 23 UP. 02:41PM 24 AND WHILE, OF COURSE, THE SETTLEMENT DISCUSSIONS ARE 02:41PM 25 CONFIDENTIAL, I DON'T THINK THERE'S ANY QUESTION THAT YOU HAD UNITED STATES COURT REPORTERS

45 02:41PM 1 KNOWLEDGEABLE, EXPERIENCED COUNSEL ON BOTH SIDES, AND A VERY 02:41PM 2 KNOWLEDGEABLE, EXPERIENCED MEDIATOR WHO WAS WELL AWARE OF ALL 02:41PM 3 OF THESE RISKS AND WHAT'S BEEN HAPPENING AT TRIALS HERE AND 02:41PM 4 AROUND THE COUNTRY. 02:41PM 5 AND, YOU KNOW, TO COME UP WITH THIS NUMBER, WHICH IS, I 02:41PM 6 GUESS, THE SECOND BIGGEST NUMBER IN HISTORY FOR A SETTLEMENT OF 02:41PM 7 THIS KIND, I THINK THAT'S A PRETTY SIGNIFICANT ACHIEVEMENT AND 02:41PM 8 I THINK THAT THE PARTIES DIDN'T COME TO IT OVERNIGHT. IT TOOK 02:41PM 9 A WHOLE LOT OF WORK AND A WHOLE LOT OF TIME AND EFFORT BY A LOT 02:42PM 10 OF PEOPLE TO GET THAT NUMBER DONE. 02:42PM 11 THE ONLY OTHER COMMENT I'LL MAKE IS THAT I THINK YOUR 02:42PM 12 HONOR'S COMMENTS ON THE SO-CALLED PRO RATA, IT -- THIS 02:42PM 13 SETTLEMENT IS A LITTLE BIT DIFFERENT IN THAT THERE'S NO CLAIMS 02:42PM 14 PROCESS. WE'RE JUST GOING TO WRITE CHECKS. WE HAVE THE 02:42PM 15 ADDRESSES. WE HAVE THE IDENTITIES. THERE'S NO CLAIMS PROCESS. 02:42PM 16 SO IT'S NOT A REVERTER IN THE SENSE THAT WE THINK OF 02:42PM 17 REVERSIONS. IT'S A SAFETY VALVE, IF A REALLY HIGH NUMBER OF 02:42PM 18 PEOPLE OPT OUT, TO GIVE THE DEFENDANTS THE FUNDS TO DEAL WITH 02:42PM 19 THOSE OPT OUTS. 02:42PM 20 NOW, I DON'T THINK ANY OF US EXPECT OPT OUTS AT THIS 02:42PM 21 LEVEL. THERE WERE 61 OPT OUTS FROM THE LITIGATION CLASS AND 02:42PM 22 NOT VERY MANY FROM THE SETTLEMENT CLASS. 02:42PM 23 AND SO I THINK THAT THIS REALLY IS A SAFETY VALVE, AND I 02:42PM 24 DON'T THINK IT'S FAIR TO THE PLAINTIFFS, OR US, TO SAY, "WELL, 02:42PM 25 THESE OTHER GUYS, THEIR PRO RATA STARTED AT THIS NUMBER." UNITED STATES COURT REPORTERS	47 02:44PM 1 MUCH BIGGER AND MORE SIGNIFICANT THAN THE ONE THAT YOUR HONOR 02:44PM 2 APPROVED A COUPLE OF MONTHS AGO. IT TOOK CARE OF 90-PLUS 02:44PM 3 PERCENT OF THE CLASS, SO IT'S A MUCH BIGGER DEAL FROM THAT 02:44PM 4 PERSPECTIVE. 02:44PM 5 SO I JUST THINK YOU HAVE TO TAKE ALL OF THESE ELEMENTS IN 02:44PM 6 CONTEXT OF THE OVERALL GLOBAL DEAL. 02:44PM 7 THE COURT: WHAT WAS THE NUMBER OF OPT OUTS IN THE 02:44PM 8 LUCASFILM/PIXAR/INTUIT? DO YOU HAVE THAT NUMBER NOW? 02:44PM 9 MR. VAN NEST: SIXTY-ONE -- 02:45PM 10 THE COURT: WAS FOR THE LITIGATION CLASS. 02:45PM 11 MR. VAN NEST: -- OPTED OUT OF THE LITIGATION CLASS. 02:45PM 12 THE COURT: YEAH. SO THAT WOULD HAVE BEEN -- 02:45PM 13 MR. VAN NEST: IT'S MORE FOR THE SETTLEMENT CLASS, 02:45PM 14 BUT IT'S LESS THAN 200, I THINK. 02:45PM 15 MS. DERMODY: IT'S 147, YOUR HONOR. 02:45PM 16 THE COURT: OKAY. AND THEY ARE THE ONES WHO OPTED 02:45PM 17 OUT OF BOTH THE LUCASFILM, PIXAR, AND INTUIT CLASSES, RIGHT? 02:45PM 18 MS. DERMODY: IT'S THE SETTLEMENT CLASS. 02:45PM 19 THE COURT: THE SETTLEMENT CLASSES. 02:45PM 20 MS. DERMODY: RIGHT. AND THEN 61 JUST OPTED OUT OF 02:45PM 21 THE LITIGATION -- 02:45PM 22 THE COURT: OF THE LITIGATION CLASS. OKAY. 02:45PM 23 ALL RIGHT. AND THERE WAS A CLAIM FORM IN THAT SETTLEMENT? 02:45PM 24 MS. DERMODY: THAT'S RIGHT, YOUR HONOR. 02:45PM 25 THE COURT: OKAY. WELL, I WAS HAPPY TO SEE THAT UNITED STATES COURT REPORTERS
46 02:42PM 1 YOU HAVE TO TAKE THE SETTLEMENT IN ITS ENTIRETY. IN OTHER 02:43PM 2 WORDS, WE DIDN'T NEGOTIATE ONE LITTLE PIECE AT A TIME. THIS 02:43PM 3 WAS ONE SETTLEMENT WITH A LOT OF MOVING PARTS AND A LOT OF 02:43PM 4 ELEMENTS, AND SO MAYBE WE GOT A LITTLE BETTER BLOW PROVISION, 02:43PM 5 YOU KNOW, IN TERMS OF A PRO RATA. 02:43PM 6 BUT WHEN YOU'RE PAYING 324 MILLION, MAYBE YOU'RE ENTITLED 02:43PM 7 TO IT. THOSE GUYS PAID 20 MILLION, AND SO THEIR RISK OF OPT 02:43PM 8 OUTS, WHATEVER IT WAS, YOU KNOW, THEY DIDN'T -- THAT AMOUNT OF 02:43PM 9 MONEY IS SO VASTLY DIFFERENT FROM THE MONEY THAT THESE 02:43PM 10 DEFENDANTS PAID THAT IT'S QUITE NATURAL TO SAY, AND TO EXPECT, 02:43PM 11 THAT A PRO RATA TYPE SAFETY VALVE MIGHT BE DIFFERENT. 02:43PM 12 AND WE DIDN'T NEGOTIATE THIS DEAL FROM THE EARLIER DEAL. 02:43PM 13 THIS SETTLEMENT WAS ACHIEVED BY THESE DEFENDANTS WITH THE 02:43PM 14 PLAINTIFFS BASED ON THE FACTS THAT WE HAD FROM OUR CASE. 02:43PM 15 AND SO WE -- I, FRANKLY, WASN'T EVEN AWARE OF WHAT THEIR 02:43PM 16 PERCENTAGE PRO RATA IN THE LUCASFILM DEAL WAS UNTIL IT CAME UP 02:43PM 17 THIS MORNING. I JUST KNEW THAT, GIVEN THE AMOUNT OF MONEY WE 02:44PM 18 WERE SPENDING TO RESOLVE THIS, AND THE POSSIBILITY THAT I WOULD 02:44PM 19 BE LEFT IN AN EXTREME CASE -- AND IT IS EXTREME -- WITH A LARGE 02:44PM 20 NUMBER OF OPT OUTS, I WANTED, ASKED FOR, AND NEGOTIATED HARD 02:44PM 21 FOR THE RIGHT TO GET SOME SMALL AMOUNT OF MONEY BACK TO DEAL 02:44PM 22 WITH THOSE SO THAT I COULD EITHER TRY OR RESOLVE THOSE CASES. 02:44PM 23 AND THAT'S ALL IT IS. IT'S -- IT'S ONE SMALL PIECE OF A 02:44PM 24 BIGGER RESOLUTION, AND I DON'T THINK IT'S FAIR TO COMPARE, YOU 02:44PM 25 KNOW, THAT PRO RATA TO ANY OTHER BECAUSE OUR SETTLEMENT WAS SO UNITED STATES COURT REPORTERS	48 02:45PM 1 THERE'S NO CLAIM FORM HERE. 02:45PM 2 MR. VAN NEST: WE THINK IT'S BETTER FOR OUR MEMBERS. 02:45PM 3 MS. DERMODY: YEAH. AND WE'VE NOW TESTED THE 02:45PM 4 ADDRESSES, SO WE KNOW WE HAVE VERY GOOD ADDRESSES. WE'VE 02:45PM 5 UPDATED ALL OF THEM ONE TIME ALREADY, SO WE HAVE A GREAT DEAL 02:45PM 6 OF CONFIDENCE WE'LL REACH EVERYONE. 02:45PM 7 THE COURT: SO LET ME -- I HAVE SOME MECHANICAL 02:45PM 8 QUESTIONS. 02:45PM 9 YOU STOOD UP -- MR. GIRARD, LET ME DO MY MECHANICAL 02:45PM 10 QUESTIONS AND THEN I'LL GIVE EVERYBODY AN OPPORTUNITY. 02:45PM 11 MR. GIRARD: OKAY. 02:45PM 12 THE COURT: OKAY. THERE'S A PROVISION IN THE 02:46PM 13 SETTLEMENT AGREEMENT THAT SAYS THE NON-CASHED CHECKS GO TO 02:46PM 14 EITHER A CY PRES RECIPIENT OR FOR FURTHER CLASS DISTRIBUTION, 02:46PM 15 AND I WANTED TO GET A SENSE OF HOW THAT WAS LIKELY TO PROCEED. 02:46PM 16 WOULD THERE BE A CERTAIN AMOUNT -- I MEAN, CERTAINLY IF IT'S A 02:46PM 17 REALLY LARGE NUMBER, AT SOME POINT IT SHOULD GO TO THE CLASS 02:46PM 18 FOR FURTHER DISTRIBUTION -- 02:46PM 19 MS. DERMODY: RIGHT. 02:46PM 20 THE COURT: -- VERSUS GOING TO A CY PRES RECIPIENT. 02:46PM 21 BUT HOW WERE YOU PLANNING TO APPROACH THAT QUESTION? 02:46PM 22 MS. DERMODY: YOUR HONOR, CAN YOU DIRECT ME TO WHERE 02:46PM 23 YOU ARE IN THE SETTLEMENT? 02:46PM 24 THE COURT: YEAH, SURE. 02:46PM 25 MS. DERMODY: I'D BE HAPPY TO TAKE A LOOK AT THAT UNITED STATES COURT REPORTERS

49 02:46PM 1 CLAUSE. 02:46PM 2 THE COURT: NO PROBLEM. 02:46PM 3 MS. DERMODY: OKAY. 02:46PM 4 THE COURT: I'M LOOKING AT -- ON PAGE 18 -- 02:46PM 5 MS. DERMODY: THANK YOU. 02:46PM 6 THE COURT: -- IT'S PARAGRAPH 8 OF 4A IS THE SECTION. 02:46PM 7 MS. DERMODY: OH. YES, YOUR HONOR. 02:47PM 8 WE INTENDED TO COME BACK TO THE COURT SO THAT THE COURT 02:47PM 9 WOULD EITHER BLESS THE APPROACH OF CY PRES, OR WE COULD HAVE A 02:47PM 10 CONVERSATION WITH THE COURT TO DETERMINE WHETHER IT MADE SENSE 02:47PM 11 FROM AN ECONOMIC STANDPOINT TO PAY FOR THE MAIL TO 02:47PM 12 REDISTRIBUTE. 02:47PM 13 IT'S NOT EXPECTED, WITH THIS TYPE OF PROCESS, THAT WE 02:47PM 14 WOULD HAVE THAT MUCH MONEY AT THE END OF THE DAY BECAUSE IT 02:47PM 15 WOULD ONLY BE PEOPLE WHO RECEIVED CHECKS THAT THEY DIDN'T CASH, 02:47PM 16 AND IN A TYPICAL CASE, THAT MIGHT BE \$10,000 OR SOMETHING LIKE 02:47PM 17 THAT, MAYBE EVEN \$20,000. 02:47PM 18 BUT YOU DON'T TEND TO SEE A MILLION DOLLARS OF UNCASHED 02:47PM 19 CHECKS. THAT WOULD BE VERY RARE. 02:47PM 20 THE COURT: SO IS YOUR THINKING ABOUT THIS QUESTION 02:47PM 21 THAT IF IT TURNS OUT THAT THE AMOUNT IS EFFECTIVELY DE MINIMIS 02:47PM 22 AND WOULDN'T ACTUALLY PAY FOR ITSELF IN TERMS OF THE 02:47PM 23 ADMINISTRATIONS COSTS, TO THEN GIVE IT TO A CY PRES RECIPIENT? 02:47PM 24 MS. DERMODY: THAT'S RIGHT, YOUR HONOR. 02:47PM 25 THE COURT: BUT IF IT EXCEEDS THE COST OF UNITED STATES COURT REPORTERS	51 02:49PM 1 ADD THEM. 02:49PM 2 THE COURT: OKAY. IF I APPROVE THIS SETTLEMENT, I 02:49PM 3 WOULD WANT IT TO BE ON A PRETTY TIGHT TIMEFRAME. 02:49PM 4 MS. DERMODY: YES. 02:49PM 5 THE COURT: AND THIS IS THE SCHEDULE I WOULD 02:49PM 6 RECOMMEND AND I WANTED TO SEE IF THAT WOULD BE FEASIBLE FOR THE 02:49PM 7 PARTIES AND FOR THE CLAIMS ADMINISTRATOR. 02:49PM 8 SO SUBMISSION OF REVISED NOTICE AND PROPOSED ORDER -- 02:50PM 9 ACTUALLY, MOST LIKELY -- WE MAY JUST MAKE THE CHANGES OURSELVES 02:50PM 10 TO THE NOTICE. 02:50PM 11 BUT -- I GUESS THE TRANSFERRING OF THE MATERIALS FROM THE 02:50PM 12 PRIOR SETTLEMENT ADMINISTRATOR TO THE NEW ONE BY JUNE 30TH; 02:50PM 13 NOTICE MAILED AND POSTED TO THE INTERNET, JULY 14TH. 02:50PM 14 MS. DERMODY: YOUR HONOR, I'M SORRY. CAN I STOP YOU 02:50PM 15 ON THE VERY FIRST ONE? 02:50PM 16 THE COURT: YES. IS THAT TOO TIGHT? 02:50PM 17 MS. DERMODY: YES, I'M SORRY. HEFFLER AND GILARDI I 02:50PM 18 THINK HAVE TALKED ABOUT 20 DAYS FROM THE ORDER. IF THE ORDER 02:50PM 19 WAS TODAY, 20 DAYS WOULD BE JULY 9. 02:50PM 20 THE COURT: FOR, WHAT, THE TRANSFERRING OF MATERIALS? 02:50PM 21 MS. DERMODY: THE TRANSFER, YES. 02:50PM 22 THE COURT: OH. THEY NEED 20 DAYS? 02:50PM 23 MS. DERMODY: BECAUSE THERE'S SOME SECURITY ISSUES 02:50PM 24 AROUND THE DATA. IT'S NOT SOMETHING THAT CAN BE DONE SIMPLY. 02:50PM 25 I JUST WANT TO MAKE SURE THEY HAVE ENOUGH TIME TO DO IT UNITED STATES COURT REPORTERS
50 02:47PM 1 DISTRIBUTION AND ADMINISTRATION, THEN TO SEND IT TO THE CLASS? 02:47PM 2 MS. DERMODY: ABSOLUTELY, YES. 02:48PM 3 THE COURT: OKAY. ALL RIGHT. THAT'S FINE. 02:48PM 4 THIS DISPUTE FUND ISN'T DEFINED ANYWHERE AND IT'S NOT IN 02:48PM 5 THE NOTICE. THIS IS PARAGRAPH 6 ON THE SAME PAGE. 02:48PM 6 MS. DERMODY: YES, YOUR HONOR. 02:48PM 7 THE COURT: I WAS UNCLEAR ON IS THIS FUND MONEY THAT 02:48PM 8 GOES TO THE CLAIMS ADMINISTRATOR TO RESOLVE DISPUTES AND PAY 02:48PM 9 FOR ADMINISTRATION COSTS? OR IS THIS SORT OF A FUND THAT WILL 02:48PM 10 BE PAID TO ANY CLASS MEMBER WHO SUCCESSFULLY DISPUTES THEIR 02:48PM 11 PAYMENT AMOUNT? 02:48PM 12 MS. DERMODY: THE LATTER, YOUR HONOR, YES. IT'S -- 02:48PM 13 WITH THE -- IT'S JUST TO MAKE SURE THAT THERE'S MONEY LEFT OVER 02:48PM 14 IN CASE THERE'S A CLASS MEMBER WHO EITHER HAS A RECORD KEEPING 02:48PM 15 ISSUE WITH THE DATA AND BELIEVES, AND CORRECTLY BELIEVES, THAT 02:48PM 16 HE OR SHE SHOULD HAVE HAD A HIGHER FORMULA PAY OUT, OR IF THERE 02:48PM 17 IS A PERSON WHO, FOR SOME REASON, DOESN'T RECEIVE A CHECK AND 02:48PM 18 THEY'RE IN THE CLASS DATA AND IT'S JUST A MISTAKE, EITHER ON 02:49PM 19 THE ADMINISTRATOR'S STANDPOINT OR IN THE DEFENDANTS' DATA 02:49PM 20 KEEPING OF PEOPLE IN THIS CLASS, THAT WE HAVE MONEY TO PAY 02:49PM 21 THOSE FOLKS WHO MIGHT SHOW UP JUST AFTER CHECKS ARE ISSUED. 02:49PM 22 THE COURT: AND NEITHER THIS DISPUTE FUND NOR THE 02:49PM 23 REVERTER OR THE CY PRES ISSUE ARE ACTUALLY IN THE NOTICE. WAS 02:49PM 24 THERE A REASON WHY THOSE WEREN'T INCLUDED IN THERE? 02:49PM 25 MS. DERMODY: NO, YOUR HONOR. BUT WE CAN CERTAINLY UNITED STATES COURT REPORTERS	52 02:50PM 1 SECURELY AND THE RIGHT WAY. 02:51PM 2 THE COURT: ALL RIGHT. WELL, THEN, I ASSUME THAT 02:51PM 3 THAT WOULD PUSH EVERYTHING ELSE BACK. 02:51PM 4 MS. DERMODY: THAT'S WHY I STOPPED YOUR HONOR. I'M 02:51PM 5 SORRY. 02:51PM 6 THE COURT: OKAY. SO -- 02:51PM 7 MS. DERMODY: IF IT WOULD HELP YOUR HONOR, I COULD 02:51PM 8 GIVE YOU A LIST I WROTE OUT IF WE USED JULY 9. 02:51PM 9 THE COURT: WELL, WHAT IF THAT WOULD BE JULY 14TH? 02:51PM 10 THAT WOULD BE THE DATE OF THE TRANSFER, ROUGHLY 20 DAYS FROM 02:51PM 11 MONDAY, JUNE 23RD. 02:51PM 12 THEN HOW MUCH TIME WOULD YOU NEED TO MAIL THE NOTICE AND 02:51PM 13 POST IT TO THE INTERNET? 02:51PM 14 MS. DERMODY: TWO WEEKS, YOUR HONOR. SO THAT WOULD 02:51PM 15 BE JULY 28, AND THAT'S A MONDAY. 02:52PM 16 THE COURT: OKAY. AND THEN THE MOTION FOR ATTORNEYS' 02:52PM 17 FEES AND COSTS, YOU'RE SAYING 31 DAYS FROM THE NOTICE DATE, SO 02:52PM 18 THAT WOULD BE ROUGHLY -- 02:52PM 19 MS. DERMODY: AUGUST 28. 02:52PM 20 THE COURT: THAT WOULD BE AUGUST 28 OF 2014. 02:52PM 21 OKAY. AND THEN I GUESS I'M UNCLEAR. SOME OF THE DATES 02:52PM 22 ARE OFF THE -- THEY KIND OF SWITCH FROM THE NOTICE DATE BEING 02:52PM 23 THE ANCHOR DATE TO THE FINAL APPROVAL HEARING BEING THE ANCHOR 02:52PM 24 DATE. 02:52PM 25 MS. DERMODY: YES. I'M SORRY, YOUR HONOR. UNITED STATES COURT REPORTERS

53 02:52PM 1 THE COURT: WHAT -- I GUESS FOR THE MOTION FOR FINAL 02:52PM 2 APPROVAL, THAT WOULD BE 70 DAYS FROM THE NOTICE DATE, WHICH 02:53PM 3 WOULD HAVE BEEN JULY 28. 02:53PM 4 MS. DERMODY: SO IT MIGHT BE EASIER TO SET THE OPT 02:53PM 5 OUT OBJECTION DEADLINE, WHICH I THINK UNDER THIS WOULD BE 02:53PM 6 SEPTEMBER 11TH. 02:53PM 7 AND THEN WE MIGHT WANT TO HAVE TWO WEEKS FOR THE OPENING 02:53PM 8 BRIEF FOR FINAL APPROVAL, AND THAT WOULD THEN BE THREE WEEKS 02:53PM 9 BEFORE THE HEARING DATE. 02:53PM 10 THE COURT: YOU MEAN TWO WEEKS AFTER SEPTEMBER 11TH? 02:53PM 11 MS. DERMODY: CORRECT. THANK YOU. 02:53PM 12 (PAUSE IN PROCEEDINGS.) 02:53PM 13 THE COURT: HOW MUCH TIME AFTER THE MOTION FOR FINAL 02:53PM 14 APPROVAL IS NEEDED FOR THE CLAIMS ADMINISTER AFFIDAVIT OF 02:53PM 15 COMPLIANCE WITH THE NOTICE REQUIREMENTS? 02:53PM 16 MS. DERMODY: I THINK THAT THAT CAN BE 30 DAYS BEFORE 02:54PM 17 THE FINAL APPROVAL HEARING, YOUR HONOR. SO IF THAT HEARING WAS 02:54PM 18 ON OCTOBER 16, IT WOULD BE THE 30 DAYS BEFORE THAT. I THINK 02:54PM 19 THAT WOULD BE SEPTEMBER 16. 02:54PM 20 THE COURT: AND THE REPLIES WOULD BE? 02:54PM 21 MS. DERMODY: A WEEK BEFORE THE HEARING IF THAT WORKS 02:54PM 22 FOR YOUR HONOR. 02:54PM 23 THE COURT: I NEED TO CHECK -- MS. PARKER BROWN, CAN 02:54PM 24 YOU TAKE A LOOK AT OCTOBER 16? 02:54PM 25 OR WE COULD DO IT EVEN SOONER, OCTOBER -- HOW -- WHAT IS UNITED STATES COURT REPORTERS	55 02:55PM 1 SLIP, THE NOTICES DON'T GET OUT, THE DATE IS NOT QUITE RIGHT. 02:55PM 2 WE'VE HAD THIS HAPPEN. WE THINK WE'VE GOT IT CLEARED UP, BUT 02:55PM 3 WE DON'T KNOW. 02:55PM 4 WHY NOT GIVE OURSELVES AN EXTRA WEEK AND THEN WE HAVE SOME 02:56PM 5 FLEXIBILITY? 02:56PM 6 THE COURT: LET'S SEE WHAT WE HAVE ON THE 23RD AND 02:56PM 7 THE 30TH. 02:56PM 8 MR. VAN NEST: YEAH. 02:56PM 9 (DISCUSSION OFF THE RECORD BETWEEN THE COURT AND THE 02:56PM 10 CLERK.) 02:56PM 11 THE COURT: WELL, NEITHER OF THOSE DATES ARE GREAT 02:56PM 12 FOR US, BUT I'M HAPPY TO -- 02:56PM 13 THE CLERK: NOVEMBER 6TH MIGHT WORK. 02:56PM 14 THE COURT: WHAT'S ON NOVEMBER 6TH? 02:56PM 15 (DISCUSSION OFF THE RECORD BETWEEN THE COURT AND THE 02:56PM 16 CLERK.) 02:56PM 17 THE COURT: I -- YOU KNOW, IF I'M GOING TO APPROVE 02:57PM 18 THIS, I DON'T WANT TO DELAY PAYMENT FURTHER THAN NECESSARY. 02:57PM 19 YOU KNOW, I GUESS NOVEMBER 6TH IS PROBABLY SLIGHTLY 02:57PM 20 BETTER, BUT I'M FINE WITH ALSO HAVING THIS ON THE 23RD OR THE 02:57PM 21 30TH. 02:57PM 22 MR. VAN NEST: EITHER ONE IS FINE WITH US. ANY ONE 02:57PM 23 OF THOSE THREE DATES IS FINE, YOUR HONOR. 02:57PM 24 MS. DERMODY: SAME FOR US, YOUR HONOR. 02:57PM 25 THE COURT: OKAY. UNITED STATES COURT REPORTERS
54 02:54PM 1 THE EARLIEST DATE WE COULD DO IT THAT WOULD GIVE YOU ENOUGH 02:54PM 2 TIME TO GET EVERYTHING DONE? 02:54PM 3 MS. DERMODY: WELL, IF WE ARE FILING OUR OPENING 02:54PM 4 FINAL APPROVAL BRIEF ON SEPTEMBER 25, AND IF THERE'S GOING TO 02:54PM 5 BE ANY OBJECTOR BRIEFING THAT'S GOING TO FOLLOW THAT, THEN WE 02:54PM 6 MIGHT ACTUALLY KIND OF HAVE TO HAVE A BRIEFING SCHEDULE OF 02:54PM 7 SEPTEMBER 25, WITH THE EXPECTATION THAT SOMETHING GETS FILED BY 02:54PM 8 OBJECTORS A WEEK LATER, AND WE REPLY TO THAT BY THE 9TH. 02:54PM 9 SO THAT'S THE TROUBLE OF TRYING TO MOVE SOMETHING EARLIER 02:54PM 10 THAN THE 16TH I THINK, YOUR HONOR. 02:55PM 11 THE COURT: OKAY. SO THIS WOULD SAY THE REPLIES THEN 02:55PM 12 WOULD BE DUE OCTOBER 9, AND THE HEARING DATE WILL THEN BE 02:55PM 13 OCTOBER 16TH. 02:55PM 14 THE CLERK: ON OCTOBER 16TH, WE CURRENTLY HAVE -- 02:55PM 15 YESTERDAY YOU SET DISPOSITIVE MOTIONS ON <u>BRAZIL V. DOLE</u> FOR THE 02:55PM 16 16TH. 02:55PM 17 THE COURT: UM-HUM. 02:55PM 18 (DISCUSSION OFF THE RECORD BETWEEN THE COURT AND THE 02:55PM 19 CLERK.) 02:55PM 20 MR. VAN NEST: YOUR HONOR, IN LIGHT OF THE PROBLEMS 02:55PM 21 WE'VE HAD ON THESE EARLIER ONES JUST WITH PAPERWORK AND 02:55PM 22 WHATNOT, I WOULD JUST SUGGEST MOVING IT BACK A WEEK OR TWO SO 02:55PM 23 WE DON'T HAVE TO COME BACK AND MOVE IT AGAIN. 02:55PM 24 THE COURT: YOU MEAN MOVE THE 16TH A WEEK? 02:55PM 25 MR. VAN NEST: MOVE IT BACK A WEEK. THE NOTICES UNITED STATES COURT REPORTERS	56 02:57PM 1 (DISCUSSION OFF THE RECORD BETWEEN THE COURT AND THE 02:57PM 2 CLERK.) 02:58PM 3 THE COURT: I'LL GO AHEAD AND SET THIS ON 02:58PM 4 NOVEMBER 6TH IF I'M GOING TO APPROVE IT, AND THAT WAY WE CAN 02:58PM 5 EVEN BUILD IN A LITTLE TIME THROUGHOUT -- I ASSUME EVERYONE IS 02:58PM 6 AVAILABLE ON THE 6TH? IS THAT DATE OKAY? 02:58PM 7 MS. DERMODY: YES, YOUR HONOR. 02:58PM 8 MR. VAN NEST: YES, YOUR HONOR. 02:58PM 9 THE COURT: OKAY. I THINK THAT WAS IT. I MEAN, 02:59PM 10 THERE ARE SOME NITS ON THE NOTICE, BUT I DON'T THINK THEY'RE 02:59PM 11 IMPORTANT ENOUGH TO TAKE UP YOUR TIME. 02:59PM 12 I'LL GIVE EVERYONE A LAST OPPORTUNITY TO BE HEARD, AND 02:59PM 13 THEN WE'RE GOING TO TAKE A BREAK BEFORE I CALL MY LAST CASE. 02:59PM 14 MR. GIRARD: FINAL COMMENTS, YOUR HONOR. 02:59PM 15 THE COURT: OKAY. 02:59PM 16 MR. GIRARD: ON THE AMOUNT THAT THE DEFENDANTS ARE 02:59PM 17 PAYING, THE COURT REFERRED SEVERAL TIMES TO THE IMPLICIT, I 02:59PM 18 THINK I'LL CALL IT MARKET SHARE, IMPLIED BY THE EARLIER 02:59PM 19 SETTLEMENT, THE 20 MILLION, AND MR. VAN NEST POINTED TO 8 02:59PM 20 PERCENT. 02:59PM 21 THE COLLOQUY THAT OCCURRED BETWEEN THE COURT AND COUNSEL 02:59PM 22 AT PRELIMINARY APPROVAL ON THE EARLIER SETTLEMENTS -- 02:59PM 23 THE COURT: UM-HUM. 02:59PM 24 MR. GIRARD: -- WAS THAT THE AMOUNT BEING PAID, 03:00PM 25 WHAT -- WHAT THE DISCUSSION WAS, WAS THAT THEY HAD 8 PERCENT OF UNITED STATES COURT REPORTERS

57 03:00PM 1 THE WORK FORCE, BUT THE AMOUNT THEY PAID AMOUNTED TO 5 PERCENT 03:00PM 2 OF THE TOTAL AMOUNT PAID. 03:00PM 3 SO THE IMPLICIT NUMBER, IF YOU USE 20 PERCENT AS A 03:00PM 4 BENCHMARK FOR THESE REMAINING DEFENDANTS, I COME UP WITH IS 400 03:00PM 5 MILLION, SO WE WOULD BE 75 MILLION SHORT IF WE WERE USING THAT 03:00PM 6 AS A BENCHMARK. 03:00PM 7 AND THE REFERENCE IS THE TRANSCRIPT OF THE PRELIMINARY -- 03:00PM 8 PRELIMINARY APPROVAL HEARING AT PAGE 16, AND AT LINE 18, 03:00PM 9 THERE'S A DISCUSSION BETWEEN MS. DERMODY AND YOUR HONOR IN 03:00PM 10 WHICH THESE NUMBERS ARE BEING DISCUSSED AND THE 20 PERCENT -- 03:00PM 11 OR 20 MILLION AND HOW THAT REPRESENTS 8 PERCENT OF THE WORK 03:00PM 12 FORCE NUMERICALLY, BUT 5 PERCENT FROM THE POINT OF VIEW OF THE 03:00PM 13 AMOUNT THEY PAID IN RELATION TO THE TOTAL AMOUNT OF SALARIES 03:00PM 14 PAID. 03:00PM 15 SO TO THE EXTENT I HEARD THE COURT TO BE SAYING THIS 03:00PM 16 NUMBER SEEMED LIGHT, I THINK THAT'S THE ANSWER. 03:01PM 17 SECOND, THE DISTRICT COURT -- THE COURT MADE A NUMBER OF 03:01PM 18 COMMENTS THAT, IN MY EXPERIENCE, THE COMMENTS HAVE BEEN PRETTY 03:01PM 19 EFFECTIVE IN FOCUSSED THE MIND OF DECISION MAKERS ABOUT 03:01PM 20 SETTLEMENT, AND IF THE COURT DECIDED NOT TO APPROVE THIS AT 03:01PM 21 THIS STAGE AND SENT THE PARTIES BACK TO TRY AGAIN, I THINK 03:01PM 22 YOU'VE MADE IT PRETTY CLEAR, AND I HAVE A SENSE FROM THE 03:01PM 23 DISCUSSION WHERE THAT BENCHMARK IS, AND I HAVE A FEELING THAT 03:01PM 24 THAT -- THAT THE COURT'S COMMENTS ARE GOING TO ELICIT A 03:01PM 25 FAVORABLE RESPONSE. BUT THE ONLY WAY TO FIND THAT OUT IS TO UNITED STATES COURT REPORTERS	59 03:02PM 1 PERSONS IN THE CLASS -- SO THAT THE NUMBERS ARE RIGHT THERE AND 03:03PM 2 SOMEBODY DOESN'T HAVE TO GO DO THE MATH, BECAUSE I THINK THE 03:03PM 3 AVERAGE PERSON IS NOT GOING TO JUMP TO THE CONCLUSION THAT THEY 03:03PM 4 CAN DO THAT MATH AND THAT THAT'S GOING TO BE HOW THEY KNOW. 03:03PM 5 SO IT'S EASY ENOUGH TO DO THAT LANGUAGE. IF YOU APPROVE, 03:03PM 6 I WOULD PROPOSE LANGUAGE TO CLASS COUNSEL. I'M SURE WE COULD 03:03PM 7 AGREE ON AN INSERTION TO THE NOTICE THAT WOULD ADD THAT 03:03PM 8 INFORMATION. 03:03PM 9 AND SO IF YOU'RE GOING FORWARD, IT'S, I THINK, CONSISTENT 03:03PM 10 WITH THE NORTHERN DISTRICT'S RECENT GUIDELINES. THOSE CALL FOR 03:03PM 11 THIS INFORMATION IN THE MOVING PAPERS, AND A NUMBER OF COURTS 03:03PM 12 HAVE REQUIRED THAT INFORMATION IN THE NOTICE. IT'S REQUIRED 03:03PM 13 UNDER THE PRIVATE SECURITIES LITIGATION REFORM ACT, AND IT'S 03:03PM 14 EASY ENOUGH TO DO FROM A PRACTICAL PERSPECTIVE. 03:03PM 15 AND IF YOU WANT TO PROCEED WITH THIS SETTLEMENT, IT'S ONE 03:03PM 16 WAY OF GIVING THE CLASS MEMBERS THE INFORMATION THAT MR. DEVINE 03:03PM 17 WAS CONCERNED ABOUT. 03:03PM 18 THE COURT: YOU MEAN PUTTING IN THE \$141,331? 03:04PM 19 MR. GIRARD: YEAH. AND TO THE EXTENT THE CONCERN IS 03:04PM 20 THAT'S A TREBLED NUMBER, IT CAN BE CLARIFIED THAT THAT WOULD BE 03:04PM 21 AFTER TREBLING. 03:04PM 22 BUT I THINK, YEAH, THE SHORT ANSWER IS YES. 03:04PM 23 THE COURT: WHY DON'T I HAVE MR. VAN NEST, WHY DON'T 03:04PM 24 YOU RESPOND? I MEAN, IT IS TRUE THAT THE FIRST SETTLEMENT, THE 03:04PM 25 PERCENTAGE OF THE CLASS COMPENSATION WAS 5 PERCENT, AND THE UNITED STATES COURT REPORTERS
58 03:01PM 1 TRY. 03:01PM 2 A COMMENT ABOUT THE ROLE OF JUDGE PHILLIPS. I AGREE HE'S 03:01PM 3 A HIGHLY RESPECTED MEDIATOR AND VERY WELL EXPERIENCED. 03:01PM 4 HE WAS ALSO THE MEDIATOR IN THAT NFL CONCUSSION SETTLEMENT 03:01PM 5 WE CITED TO THE COURT THAT JUDGE BRODY DECLINED TO 03:01PM 6 PRELIMINARILY APPROVE AND HE, LIKE THIS CASE, HAD CONCLUDED 03:01PM 7 THAT SETTLEMENT WAS FAIR. 03:01PM 8 THE JUDGE DID NOT GRANT PRELIMINARY APPROVAL BECAUSE OF 03:01PM 9 HER CONCERNS WITH THE AMOUNT OF THE RECOVERY, AND IT'S NOT 03:02PM 10 BECAUSE JUDGE PHILLIPS WASN'T DOING HIS JOB. HIS JOB IS TO 03:02PM 11 BRING THE PARTIES TOGETHER TO AGREE ON THE NUMBER. 03:02PM 12 IT'S NOW THE JOB THIS COURT HAS TO DECIDE WHETHER THE 03:02PM 13 SETTLEMENT IS FAIR OR NOT. 03:02PM 14 SO I DON'T THINK IT'S ANY DETRACTION ON THE PERFORMANCE OF 03:02PM 15 JUDGE PHILLIPS TO POINT OUT THAT THE FACT THAT A MEDIATOR 03:02PM 16 BRINGS THE PARTIES TOGETHER DOESN'T MEAN THAT THE RESULTING 03:02PM 17 SETTLEMENT WAS FAIR, AND THE COURTS HAVE NOT TREATED THE ROLE 03:02PM 18 OF A MEDIATOR AS DISPOSITIVE ON THAT QUESTION. 03:02PM 19 LAST POINT. IF YOU DO DECIDE TO GO FORWARD AND GRANT 03:02PM 20 PRELIMINARY APPROVAL, OUR SUGGESTION WOULD BE THAT THE NOTICE 03:02PM 21 INCLUDE THE NUMBERS THAT WE'VE BEEN DISCUSSING IN THE SENSE 03:02PM 22 SPECIFICALLY OF THE POTENTIAL RECOVERY, THE RECOVERY PER 03:02PM 23 PERSON, AND WHAT THE RECOVERY WOULD BE ON THE THEORY OF DAMAGE 03:02PM 24 IF THE CASE WERE TO BE WON AT TRIAL SO THAT FROM THE 03:02PM 25 PERSPECTIVE OF A CLASS MEMBER -- AND FINALLY, THE AMOUNT OF UNITED STATES COURT REPORTERS	60 03:04PM 1 PERCENTAGE OF CLASS MEMBERSHIP WAS 8 PERCENT, AND IF WE DID 03:04PM 2 THAT STRAIGHT CALCULATION, IT WOULD HAVE BEEN HIGHER. 03:04PM 3 MR. VAN NEST: NO. THE NUMBER -- IT CONFIRMS 03:04PM 4 ABSOLUTELY THAT THE SETTLEMENT IS RIGHT IN THE SWEET SPOT. 03:04PM 5 IF 8 PERCENT IS THE BENCHMARK, AND THAT'S WHAT WE THOUGHT 03:04PM 6 WAS FAIR AND WHAT WE ARGUED IN THE MEDIATION, THEN OUR SHARE OF 03:04PM 7 THE SETTLEMENT WOULD HAVE BEEN 230 MILLION, BECAUSE IF 8 03:04PM 8 PERCENT OF THE CLASS -- IF THOSE DEFENDANTS, EMPLOYING 8 03:04PM 9 PERCENT, PAID 20 MILLION, THEN THE FULL VALUE OF THAT 03:04PM 10 SETTLEMENT IS 250 MILLION, ABSOLUTELY. 03:05PM 11 THE COURT: NO, NO, NO. THE PERCENTAGE -- OKAY, 8 03:05PM 12 PERCENT. BUT WHY SHOULD YOU GET THE SAME DEAL -- 03:05PM 13 MR. VAN NEST: WE DIDN'T. 03:05PM 14 THE COURT: -- AS THOSE -- 03:05PM 15 MR. VAN NEST: WE DIDN'T. WE GOT A DEAL THAT WAS 50 03:05PM 16 PERCENT MORE EXPENSIVE. 03:05PM 17 THE COURT: OKAY. LET ME HAVE MR. GIRARD -- OKAY. 03:05PM 18 TELL ME AGAIN -- AND I'M SORRY I DIDN'T WORK OUT THE NUMBERS IN 03:05PM 19 ADVANCE. I AGREE WITH YOU THE PERCENTAGE OF CLASS COMPENSATION 03:05PM 20 WAS 5 PERCENT. THE PERCENTAGE OF CLASS MEMBERSHIP WAS 8 03:05PM 21 PERCENT FOR THE INTUIT, LUCASFILM, PIXAR FILM. 03:05PM 22 WHAT WOULD THE NUMBER HAVE BEEN? I'M SORRY I DIDN'T 03:05PM 23 CALCULATE THIS IN ADVANCE. 03:05PM 24 MR. GIRARD: SO I'M DOING THE SAME DIVISION THAT 03:05PM 25 MR. VAN NEST IS DOING, BUT WITH 5 PERCENT INSTEAD OF 8 PERCENT, UNITED STATES COURT REPORTERS

61 03:05PM 1 WHICH GIVES YOU 400 MILLION. SO WE'RE -- 03:05PM 2 THE COURT: OKAY. SO TELL ME WHAT YOU'RE DOING AND 03:05PM 3 WHY YOU ALL ARE COMING OUT WITH DIFFERENT NUMBERS. GO AHEAD. 03:05PM 4 MR. VAN NEST: NO, NO. WE'RE COMING OUT WITH THE 03:05PM 5 SAME NUMBERS, YOUR HONOR. 03:05PM 6 IF YOU LOOK AT IT AS 5 PERCENT OF THE COMPENSATION PAID -- 03:05PM 7 THE COURT: UM-HUM. 03:05PM 8 MR. VAN NEST: -- IF THAT GROUP PAID 20, THEN THE 03:05PM 9 TOTAL VALUE OF THAT IS 400. 03:05PM 10 IF, HOWEVER, YOU LOOK AT IT AS 8 PERCENT OF THE CLASS THAT 03:05PM 11 YOU EMPLOYED, THEN THE TOTAL SETTLEMENT IS 250. 03:06PM 12 THIS NUMBER IS RIGHT IN THE MIDDLE OF THAT, WHICH IS WHY I 03:06PM 13 SAY IT'S AN ABSOLUTELY FAIR NUMBER. IT'S -- YOU COULD LOOK AT 03:06PM 14 IT ONE WAY OR THE OTHER. I THINK, AND I THINK THE DEFENDANTS 03:06PM 15 BELIEVE, THE FAIR WAY TO LOOK AT IT IS, WHAT PERCENTAGE OF THE 03:06PM 16 CLASS DID YOU FOLKS EMPLOY THAT PAID? AND WHO -- IF THAT'S -- 03:06PM 17 THAT'S A WAY TO DIVIDE IT UP. 03:06PM 18 YOU COULD ALSO DIVIDE IT UP BASED ON THE PERCENTAGE OF 03:06PM 19 PAY. 03:06PM 20 BUT EITHER WAY YOU DO IT, THIS NUMBER IS RIGHT IN THE 03:06PM 21 SWEET SPOT OF WHAT IS NOT ONLY FAIR, BUT IN MANY WAYS A PREMIUM 03:06PM 22 OVER THE SETTLEMENT THAT YOUR HONOR APPROVED A COUPLE OF MONTHS 03:06PM 23 AGO. THAT'S ALL. 03:06PM 24 THE COURT: ALL RIGHT. LET ME HEAR FROM MR. GIRARD. 03:06PM 25 WHY SHOULD IT BE A PERCENTAGE OF THE CLASS COMPENSATION VERSUS UNITED STATES COURT REPORTERS	63 03:07PM 1 PERCENTAGE. 03:07PM 2 MS. DERMODY: AND, YOUR HONOR, I JUST WANTED TO SAY 03:07PM 3 THAT CLASS COUNSEL, AT THE START OF THIS HEARING, ACKNOWLEDGED 03:07PM 4 THAT WHERE WE ARE RIGHT NOW IS PRICED IN A RATIO THAT'S VERY 03:07PM 5 SIMILAR TO THE FIRST TIME AROUND AND THAT WE BASED OUR DECISION 03:08PM 6 NOT ON THIS IDEA OF HAVING, YOU KNOW, EVEN MORE MONEY AND THIS 03:08PM 7 IS WHY WE'RE TRYING TO SELL THIS TO THE COURT, BUT ON THIS RISK 03:08PM 8 THAT WE THINK IS VERY REAL. 03:08PM 9 YOU KNOW, WHEN WE HAD THE FIRST SETTLEMENT, AS THE COURT 03:08PM 10 MAY RECALL, THE ONLY CORPORATE ADMISSIONS IN THIS CASE WERE 03:08PM 11 FROM THE PIXAR/LUCAS CORPORATE EXECUTIVES. THOSE ARE THE -- IN 03:08PM 12 SOME WAYS, THOSE WERE THE STRONGEST PIECES OF EVIDENCE IN THE 03:08PM 13 CASE, AND THEY CASHED OUT. 03:08PM 14 THERE WAS DIFFERENT EVIDENCE, SOME VERY GOOD EVIDENCE, BUT 03:08PM 15 DIFFERENT TYPES OF EVIDENCE PUTTING TOGETHER THE PIECES WITH 03:08PM 16 THE OTHER DEFENDANTS. SO YOU HAVE TO WEIGH SOME OF THOSE 03:08PM 17 ISSUES AS WELL. 03:08PM 18 AND I THINK, YOUR HONOR, THAT IF YOU WOULD TALK TO OUR 03:08PM 19 TEAM ABOUT WHO HAS BEEN DRINKING THE KOOL-AID ON THIS CASE THE 03:08PM 20 MOST, THEY PROBABLY WOULD NAME ME AS THAT PERSON WHO HAS BEEN 03:08PM 21 ZEALOUS ABOUT TAKING THIS CASE TO TRIAL. 03:08PM 22 BUT WHEN YOU GO THROUGH JURY TESTING AND YOU ACTUALLY SHOW 03:08PM 23 JURORS IN THIS DISTRICT THIS EVIDENCE AND TEST WITH THEM THEIR 03:08PM 24 ATTITUDES ABOUT THESE CLAIMS AND THESE CLASS MEMBERS, YOU HAVE 03:08PM 25 TO BE SOBERED ABOUT WHAT THE RISKS ARE WITH THIS JURY POOL, UNITED STATES COURT REPORTERS
62 03:06PM 1 THE PERCENTAGE OF THE CLASS MEMBERSHIP? 03:06PM 2 MR. GIRARD: BECAUSE DAMAGES ARE AWARDED BASED ON 03:06PM 3 COMPENSATION, ONE. 03:06PM 4 TWO, BECAUSE THE EARLIER SETTLEMENTS TYPICALLY ARE FIRST 03:06PM 5 OUT SETTLEMENTS THAT ARE USED TO FUND THE LATER LITIGATION WITH 03:06PM 6 THE UNDERSTANDING THAT LATER SETTTLING DEFENDANTS ARE GOING TO 03:07PM 7 PAY MORE. 03:07PM 8 AS YOUR HONOR ACKNOWLEDGED, THESE DEFENDANTS WERE FACING A 03:07PM 9 TRIAL. THE EARLIER DEFENDANTS SETTLED AT A TIME WHEN THERE WAS 03:07PM 10 LESS RISK IN THE CASE. 03:07PM 11 BUT EVEN IF IT'S A PURE APPLES TO APPLES COMPARISON, SINCE 03:07PM 12 DAMAGES ARE AWARDED BASED ON COMPENSATION, THE BENCHMARK NUMBER 03:07PM 13 IS 400, NOT THE NUMBER MR. VAN NEST SUGGESTED. 03:07PM 14 THE COURT: BUT DO YOU AGREE WITH HIM, IF THE 03:07PM 15 BENCHMARK WAS 8 PERCENT, THE NUMBER WOULD BE 250? DO YOU AGREE 03:07PM 16 WITH HIM ON THAT? 03:07PM 17 MR. GIRARD: WHATEVER THE MATH IS. I AGREE WITH HIM 03:07PM 18 ON THE MATHEMATICAL CALCULATION, SO IF YOU USE THAT, YES. 03:07PM 19 THE COURT: OKAY. 03:07PM 20 MR. GIRARD: IT DOESN'T ADDRESS THE ARGUMENTS ABOUT 03:07PM 21 THE HEIGHTENED RISK TO THE DEFENDANTS BECAUSE OF THE STAGE AT 03:07PM 22 WHICH THEY'RE SETTTLING AND THE FACT THAT THEY CHOSE TO PLAY ON 03:07PM 23 THE HOPES THAT THEY WOULD GET OUT, THAT THEY WOULD GET THE 03:07PM 24 CLASS CERTIFICATION ORDER REVERSED, DIDN'T GET THAT, AND 03:07PM 25 TYPICALLY THEY PAY A PRICE FOR THAT BY HAVING TO PAY A HIGHER UNITED STATES COURT REPORTERS	64 03:09PM 1 WITH THIS EVIDENCE. 03:09PM 2 IT IS NOT WITHOUT, YOU KNOW, GREAT CONCERN THAT WE WOULD 03:09PM 3 EVER TAKE THIS CASE TO TRIAL, AND THAT'S WHY WE THINK THIS IS 03:09PM 4 AN EXCELLENT DEAL AND IT WOULD BE WRONG FOR US NOT TO PRESENT 03:09PM 5 IT TO THE CLASS. 03:09PM 6 THE COURT: OKAY. BUT WHY -- I MEAN, I WAS THINKING 03:09PM 7 OF THE 5 PERCENT, NOT THE 8 PERCENT. WHY SHOULDN'T YOU HAVE AT 03:09PM 8 LEAST GOTTEN THE SAME COMPENSATION AS THE EARLIER CASE? 03:09PM 9 YOU'RE SAYING BECAUSE YOUR CASE AGAINST THESE DEFENDANTS 03:09PM 10 WAS WEAKER THAN YOUR CASE AGAINST LUCASFILM AND PIXAR? I FIND 03:09PM 11 THAT KIND OF HARD CONSIDERING WHO THE KEY PEOPLE WERE, LIKE 03:09PM 12 STEVE JOBS. YOU HAVE THE -- YOU HAVE MR. CAMPBELL WITH GOOGLE, 03:09PM 13 YOU HAVE THE WHOLE FACEBOOK SOLICITATION, YOU HAVE THE 03:09PM 14 SOLICITATION WITH EBAY. I MEAN, BOTH MR. CAMPBELL AND 03:09PM 15 MR. SCHMIDT WERE INVOLVED IN THAT. 03:09PM 16 I MEAN, I SEE WHAT YOU'RE SAYING. CERTAINLY THE QUOTES OF 03:09PM 17 THE CEOS FOR LUCASFILM AND PIXAR WERE VERY GOOD FOR YOU. 03:10PM 18 MS. DERMODY: ESPECIALLY ABOUT THEIR MOTIVATION FOR 03:10PM 19 WHY THEY ENTERED INTO THE AGREEMENTS. THERE'S NO ONE ELSE WHO 03:10PM 20 HAS SAID THE THINGS THAT THEY SAID. 03:10PM 21 THE COURT: BUT I WOULD -- WELL, ANYWAY, YOU TELL ME. 03:10PM 22 SO WHY DO THESE DEFENDANTS GET A DISCOUNT? BECAUSE YOU THINK 03:10PM 23 YOUR CASE WAS WEAKER AGAINST STEVE JOBS? 03:10PM 24 MS. DERMODY: I DON'T THINK THAT THEY GOT A DISCOUNT. 03:10PM 25 THE COURT: YOU THINK YOUR CASE WAS WEAKER AGAINST UNITED STATES COURT REPORTERS

65 03:10PM 1 ERIC SCHMIDT? 03:10PM 2 MS. DERMODY: I THINK THE RATIO IS VERY SIMILAR IN 03:10PM 3 TERMS OF WHAT HAPPENED BEFORE AND WHAT HAPPENED NOW. AND I 03:10PM 4 UNDERSTAND. IT'S WHAT WE WRESTLED WITH OURSELVES ABOUT THIS 03:10PM 5 SETTLEMENT, YOUR HONOR. 03:10PM 6 IT'S BECAUSE, AT THE END OF THE DAY, THE RISK OF LOSING AT 03:10PM 7 TRIAL NEVER CHANGED. 03:10PM 8 AT THE END OF THE DAY, THE RISK OF LOSING CERTAIN PRETRIAL 03:10PM 9 ORDERS ON APPEAL NEVER CHANGED. 03:10PM 10 THE COURT: YOU KNOW, I WISH YOU HAD TOLD ME HOW WEAK 03:10PM 11 YOUR CASE WAS FOR CLASS CERT AND ON ALL THOSE DAUBERT MOTIONS. 03:10PM 12 I MEAN, THAT WOULD HAVE BEEN HELPFUL INFORMATION. 03:10PM 13 I WAS CERTAINLY HEARING A DIFFERENT TUNE -- 03:10PM 14 MS. DERMODY: I DON'T THINK YOU -- 03:10PM 15 THE COURT: -- FROM YOUR SIDE OF THE COURTROOM DURING 03:10PM 16 ALL THE PREVIOUS MOTIONS IN THIS CASE. 03:10PM 17 IF I HAD KNOWN WHAT A LOSER THIS WAS, PERHAPS, YOU KNOW -- 03:10PM 18 THE COURT, YOU KNOW, DID 90-PAGE ORDERS. 03:11PM 19 MS. DERMODY: YOUR HONOR, I THINK WE'RE -- 03:11PM 20 THE COURT: AND IF I HAD KNOWN WHAT A WEAK CASE THIS 03:11PM 21 WAS, PERHAPS THIS SHOULDN'T HAVE GOTTEN AS MUCH OF THE COURT'S 03:11PM 22 RESOURCES AS IT DID. 03:11PM 23 MS. DERMODY: BUT, YOUR HONOR, I THINK THAT -- 03:11PM 24 THE COURT: YEAH. 03:11PM 25 MS. DERMODY: -- HOW THE COURT FEELS ABOUT IT IS UNITED STATES COURT REPORTERS	67 03:12PM 1 THEIR LIABILITY -- 03:12PM 2 MS. DERMODY: THIS IS -- 03:12PM 3 THE COURT: -- AND THEY SETTLED EARLY. 03:12PM 4 MS. DERMODY: RIGHT. THIS IS THE MARKET TESTING, 03:12PM 5 YOUR HONOR. 03:12PM 6 THE COURT: OKAY. 03:12PM 7 MS. DERMODY: WHEN YOU HAVE JURORS LOOKING AT 03:12PM 8 EVIDENCE, JURORS THINK VERY HIGHLY OF WHAT PEOPLE SAY AS 03:12PM 9 ADMISSIONS. THEY DON'T NEED TO CONNECT ANY DOTS. THEY CAN 03:12PM 10 TAKE IT AT FACE VALUE BECAUSE A PERSON SAID IT. 03:12PM 11 AND SO FROM A JUROR PERSPECTIVE, THERE ARE CERTAIN TYPES 03:12PM 12 OF EVIDENCE THAT ARE, THAT ARE VERY HOT. THEY'RE TOXIC, YOU 03:12PM 13 KNOW? THEY'RE -- THEY'RE ATOMIC. 03:12PM 14 AND THERE ARE OTHER TYPES OF EVIDENCE THAT REQUIRE LEAPS 03:12PM 15 OF LOGIC AND CONNECTING DOTS AND YOU HAVE TO HAVE JURORS THAT 03:13PM 16 ARE WILLING TO ROLL UP THEIR SLEEVES AND REALLY PUT THOSE DOTS 03:13PM 17 TOGETHER IN ORDER TO UNDERSTAND. 03:13PM 18 AND YOU MIGHT NOT GET THE JURORS THAT DO THE LATTER, BUT 03:13PM 19 YOU MIGHT GET JURORS THAT DO THE FORMER ALL DAY LONG BECAUSE 03:13PM 20 IT'S QUITE SIMPLE TO DO. 03:13PM 21 AND SO FROM A JUROR PERSPECTIVE, I DON'T KNOW IF I COULD 03:13PM 22 SAY THAT IT WAS STRONGER WITH THE LUCASFILM AND PIXAR -- I 03:13PM 23 DON'T KNOW THAT I WOULD SAY THAT. 03:13PM 24 BUT I WOULD SAY THAT SOME OF THE EVIDENCE WAS MUCH EASIER 03:13PM 25 FOR THEM, MUCH MORE ACCESSIBLE FOR THEM, AND IN THAT WAY, WE UNITED STATES COURT REPORTERS
66 03:11PM 1 MAYBE, I THINK, IN FAIRNESS, NOT LOOKING AT THE FULL PICTURE. 03:11PM 2 THE COURT: OKAY. 03:11PM 3 MS. DERMODY: THIS HONESTLY IS ONE OF THE BIGGEST 03:11PM 4 SETTLEMENTS, ONE OF THE BIGGEST RESULTS EVER IN A CASE LIKE 03:11PM 5 THIS. IT IS THE SINGLE BIGGEST RESULT EVER IN AN ANTITRUST 03:11PM 6 EMPLOYMENT CASE, EVER, BY FAR, ON AN AGGREGATE BASIS OR ON A 03:11PM 7 PER CAPITA CLASS MEMBER BASIS. 03:11PM 8 IT IS A HUGE RESULT BY EXPONENTIALLY MORE THAN OTHER 03:11PM 9 RESULTS THAT HAVE BEEN ACHIEVED, INCLUDING THE EBAY/INTUIT 03:11PM 10 AGREEMENT, AND YOUR HONOR DOES KNOW A LOT ABOUT THAT ONE, IN 03:11PM 11 THIS DISTRICT. 03:11PM 12 ALSO, IN THE EMPLOYMENT CLASS ACTION WORLD, THERE HAVE 03:11PM 13 BEEN TONS OF EMPLOYMENT CLASS ACTIONS. THERE IS ONLY ONE THAT 03:11PM 14 HAD A GREATER RESULT THAN THIS. IT TOOK 23 YEARS AGAINST THE 03:11PM 15 U.S. GOVERNMENT. 03:11PM 16 THIS IS A HUGE ACHIEVEMENT. IT'S VERY SUBSTANTIAL. IT 03:12PM 17 MAY FEEL LIKE IT'S NOT THE WHOLE THING, THAT WE COULD HAVE 03:12PM 18 GOTTEN MORE. 03:12PM 19 AND, YES, I THINK IN EVERY SETTLEMENT, IT'S THE VIRTUE OF 03:12PM 20 SETTling IS YOU'RE COMPROMISING WHAT WAS POSSIBLE. 03:12PM 21 THE COURT: BUT ANSWER MY QUESTION. DO YOU BELIEVE 03:12PM 22 YOUR CASE WAS WEAKER AGAINST GOOGLE, APPLE, ADOBE, AND INTEL 03:12PM 23 THAN AGAINST LUCASFILM, PIXAR, AND INTUIT? 03:12PM 24 MS. DERMODY: NO. 03:12PM 25 THE COURT: BECAUSE THEY PAID A HIGHER PROPORTION OF UNITED STATES COURT REPORTERS	68 03:13PM 1 HAD TO FIGURE OUT WHAT WOULD BE THE REACTION IN COMPARISON TO 03:13PM 2 THAT EVIDENCE WITH SOME OF THE OTHER DEFENDANTS. 03:13PM 3 IT IS A RISK, YOUR HONOR. IT'S A RISK WE HAD TO 03:13PM 4 ACKNOWLEDGE. 03:13PM 5 THE COURT: BECAUSE THE DOCUMENTARY EVIDENCE IN TERMS 03:13PM 6 OF E-MAILS I THINK WAS STRONGER AGAINST THESE DEFENDANTS THAN 03:13PM 7 AGAINST LUCASFILM AND PIXAR, EVEN IF THEIR CEO STATEMENTS WERE 03:13PM 8 MORE INFLAMMATORY. 03:13PM 9 MS. DERMODY: THERE WAS A TREMENDOUS RECORD IN THIS 03:13PM 10 CASE, YOUR HONOR, ABSOLUTELY. 03:13PM 11 AND IF I PERSONALLY BELIEVED THAT I COULD GO TO TRIAL 03:14PM 12 RIGHT NOW AND DO BETTER THAN WHAT WE'RE GIVING TO YOUR HONOR 03:14PM 13 TODAY, I WOULD DO IT. I WOULD DO IT A HUNDRED TIMES IN A ROW. 03:14PM 14 THE REASON WE'RE COMING HERE TODAY, YOUR HONOR, IS 03:14PM 15 BECAUSE, IN OUR BEST JUDGMENT, THIS IS THE RIGHT THING TO DO 03:14PM 16 FOR THIS CLASS. IF WE DIDN'T THINK THAT, WE WOULD NOT BE HERE 03:14PM 17 BEFORE YOU. 03:14PM 18 MR. VAN NEST: YOUR HONOR, COULD I MAKE ONE OTHER 03:14PM 19 COMMENT? 03:14PM 20 THE COURT: YEAH. I MEAN, YOU KNOW, THE RATIONALE 03:14PM 21 GIVEN IN THE BRIEFS IS, OH, THIS SAVES COURT RESOURCES. WELL, 03:14PM 22 YOU'VE ALREADY SPENT THIS COURT'S RESOURCES. THAT IS NOT A 03:14PM 23 RATIONALE. 03:14PM 24 THIS NEEDS TO BE THE FAIREST COMPENSATION, YOU KNOW, A 03:14PM 25 FAIR RESOLUTION FOR THE CLASS. THIS COURT WAS COMPLETELY UNITED STATES COURT REPORTERS

69 03:14PM 1 PREPARED TO GO TO TRIAL ON THIS CASE. 03:14PM 2 SO WHEN I HEAR, "OH, BUT WE SAVED YOU TIME," I'M SORRY, 03:14PM 3 THAT'S NOT COMPELLING TO ME. THAT'S NOT A GOOD REASON TO ADOPT 03:14PM 4 THIS. IT'S IN THE MOTION, IT'S IN THE REPLY, AND IT'S NOT 03:14PM 5 PERSUASIVE. 03:14PM 6 BUT GO AHEAD. 03:14PM 7 MR. VAN NEST: TWO OTHER POINTS. 03:14PM 8 YOUR HONOR, YOU TALK ABOUT WEIGHING EVIDENCE. 03:14PM 9 THE COURT: YEAH. 03:14PM 10 MR. VAN NEST: TWO THINGS. REMEMBER THAT THE EARLIER 03:14PM 11 PARTIES THAT SETTLED WERE PAYING GENERALLY LOWER SALARIES. THE 03:14PM 12 PARTIES THAT ARE SETTLING HERE, PARTICULARLY GOOGLE AND APPLE, 03:15PM 13 WERE AT THE VERY TOP OF THE MARKET. 03:15PM 14 ALSO, LIKE I SAY -- 03:15PM 15 THE COURT: BUT WHICH WAY DOES THAT CUT? 03:15PM 16 MR. VAN NEST: IT CUTS -- 03:15PM 17 THE COURT: WHICH WAY DOES THAT CUT? 03:15PM 18 MR. VAN NEST: FOR JURORS -- 03:15PM 19 THE COURT: I MEAN, THAT MEANS THAT THE EMPLOYEES 03:15PM 20 COULD POTENTIALLY HAVE EARNED EVEN MORE AND YOU SHOULDN'T BE 03:15PM 21 PAYING LESS THAN YOUR PROPORTION THAN LUCASFILM AND PIXAR. 03:15PM 22 MR. VAN NEST: IT CUTS IN THIS WAY: PEOPLE DO NOT 03:15PM 23 FEEL AS THOUGH THOSE EMPLOYEES WERE TREATED UNFAIRLY WHEN THEIR 03:15PM 24 PAY WAS 50 OR MORE PERCENT HIGHER THAN THE AVERAGE TECH WORKER. 03:15PM 25 IT'S HARD TO GET A JUROR TO AGREE THAT THAT'S UNITED STATES COURT REPORTERS	71 03:16PM 1 I MEAN, I -- 03:17PM 2 MR. VAN NEST: BUT, AGAIN -- 03:17PM 3 THE COURT: I THINK THERE WAS CERTAINLY EVIDENCE THAT 03:17PM 4 THE PLAINTIFFS COULD POINT TO THAT INTEL WAS AWARE OF OTHER 03:17PM 5 DEFENDANTS' AGREEMENTS AND THE COLD CALL AGREEMENTS OF OTHER 03:17PM 6 COMPANIES THAT INCLUDED OTHER COMPANIES, EVEN IF THEY DIDN'T 03:17PM 7 HAVE A DIRECT BILATERAL AGREEMENT WITH INTEL. 03:17PM 8 MR. VAN NEST: BUT, YOUR HONOR, THE ARGUMENT IS, IS 03:17PM 9 IT A FAIR SETTLEMENT? WE'RE TALKING ABOUT \$324 MILLION. 03:17PM 10 THAT'S ALL PRICED INTO THAT. 03:17PM 11 AND YOU HAVE MR. DEVINE SAYING, "WELL, IT SHOULD HAVE BEEN 03:17PM 12 A LITTLE BIT MORE." BALONEY. THAT'S ALL WITHIN THE RANGE OF 03:17PM 13 JUDGMENT AND THE RANGE OF EXPERIENCE AND THE RANGE OF RISK. 03:17PM 14 IT'S NOT AS THOUGH WE'RE LOOKING AT A 15 OR \$20 MILLION 03:17PM 15 SETTLEMENT. WE'RE LOOKING AT A \$324 MILLION SETTLEMENT WHICH, 03:17PM 16 NO MATTER HOW YOU CALCULATE IS, IS MANY, MANY FACTORS HIGHER 03:17PM 17 THAN WHAT THE EARLIER GUYS SETTLED FOR. 03:17PM 18 SO THIS IS ALL WITHIN THE RANGE OF DISCRETION AND 03:17PM 19 JUDGMENT. THAT'S WHY I THINK THIS IS NOT A CLOSE CALL MYSELF 03:17PM 20 GIVEN THE RISKS ON BOTH SIDES, GIVEN THE AMOUNT OF MONEY THAT 03:18PM 21 WAS ACHIEVED, GIVEN THE -- 03:18PM 22 THE COURT: OKAY. BUT LET ME ASK YOU, IF YOU USE THE 03:18PM 23 5 PERCENT, THEN THIS IS ABOUT 76,000 -- 76 MILLION SHORT. WHAT 03:18PM 24 IS THAT? 03:18PM 25 MR. VAN NEST: WHY WOULD -- UNITED STATES COURT REPORTERS
70 03:15PM 1 UNDERCOMPENSATION WHEN THOSE FOLKS ARE MAKING SUCH A PREMIUM 03:15PM 2 OVER EVERYBODY ELSE IN THE BUSINESS. THAT'S ONE THING. 03:15PM 3 THE OTHER KEY FACT IS THAT INTEL EMPLOYED 60 PERCENT OF 03:15PM 4 THE CLASS. SO 60 PERCENT OF THE CLASS -- YOUR HONOR KNOWS THIS 03:15PM 5 FROM THE EARLIER BRIEFING. THE EVIDENCE AGAINST INTEL WAS 03:15PM 6 RELATIVELY THIN, RIGHT? ONE BILATERAL AGREEMENT, VERY LITTLE 03:15PM 7 E-MAIL TRAFFIC. THAT WASN'T THE BARN BURNER OF THE CASE. 03:16PM 8 THE CASE THAT YOUR HONOR SAW EARLIER WITH COMMENTS BY 03:16PM 9 MR. CATMULL AND MR. LUCAS AND OTHERS WHERE THEY WERE INDICATING 03:16PM 10 THEY WANTED TO SUPPRESS PAY, THERE WAS NONE OF THAT IN THIS 03:16PM 11 GROUP OF FOUR. 03:16PM 12 AND IN PARTICULAR WITH RESPECT TO INTEL WHERE THERE WAS 03:16PM 13 ONLY A SINGLE AGREEMENT WITH A COMPANY THAT IT WAS DOING A LOT 03:16PM 14 OF BUSINESS WITH, I DO THINK THERE'S A REAL QUESTION -- 03:16PM 15 THE COURT: RIGHT, OKAY. BUT THERE WAS MR. SCHMIDT'S 03:16PM 16 TESTIMONY AND SERGEY BRIN'S TESTIMONY THAT MR. OTELLINI OF 03:16PM 17 INTEL KNEW ABOUT THE APPLE/GOOGLE AGREEMENT, RIGHT? 03:16PM 18 MR. VAN NEST: BUT -- 03:16PM 19 THE COURT: I MEAN, THERE WAS CERTAINLY EVIDENCE. 03:16PM 20 INTEL'S OWN EXPERT TESTIFIED THAT MR. OTELLINI WAS LIKELY AWARE 03:16PM 21 OF GOOGLE'S OTHER BILATERAL AGREEMENTS BY VIRTUE OF 03:16PM 22 MR. OTELLINI'S MEMBERSHIP ON GOOGLE'S BOARD. 03:16PM 23 I MEAN, I THINK THERE WAS -- INTEL CONCEDES THAT 03:16PM 24 MR. OTELLINI KNEW THE CONTENTS OF GOOGLE'S DO NOT COLD CALL 03:16PM 25 LIST, WHICH INCLUDED APPLE AND INTEL. UNITED STATES COURT REPORTERS	72 03:18PM 1 THE COURT: DO YOU AGREE WITH THE PLAINTIFFS THAT 03:18PM 2 THEIR CASE AGAINST YOU WAS WEAKER THAN THE CASE AGAINST 03:18PM 3 LUCASFILM AND PIXAR? OR WHAT'S YOUR VIEW? 03:18PM 4 MR. VAN NEST: I DON'T THINK IT'S -- 03:18PM 5 THE COURT: NO, I'M JUST SAYING -- I UNDERSTAND YOUR 03:18PM 6 POINT THAT IF YOU USE THE PERCENTAGE OF CLASS MEMBERSHIP, THIS 03:18PM 7 LOOKS LIKE IT'S A NEGOTIATED AMOUNT. 03:18PM 8 MR. VAN NEST: EVEN -- 03:18PM 9 THE COURT: BUT JUST -- 03:18PM 10 MR. VAN NEST: LET'S USE YOUR NUMBER. 03:18PM 11 THE COURT: -- LOOKING AT THE 5 PERCENT. 03:18PM 12 MR. VAN NEST: LET'S USE YOUR NUMBER. IT'S A 03:18PM 13 QUESTION OF JUDGMENT. YOU CAN'T JUST MULTIPLY THE NUMBER OUT. 03:18PM 14 IT'S A QUESTION -- YOU'VE GOT A LOT MORE MONEY AT STAKE. THEY 03:18PM 15 HAS A SETTLEMENT OF \$20 MILLION. 03:18PM 16 THE COURT: OKAY. THAT'S WHY I WANTED TO KNOW, WHAT 03:18PM 17 IS IT THAT MAKES A DIFFERENCE? 03:18PM 18 MR. VAN NEST: WHAT MAKES IT -- 03:18PM 19 THE COURT: IS IT BECAUSE WE'RE TALKING ABOUT LARGER 03:18PM 20 AMOUNTS OF MONEY? IS THAT SORT OF THE LOWER PERCENTAGE OR WHAT 03:18PM 21 IS IT? 03:18PM 22 MR. VAN NEST: IT'S ONE THING TO RISK 20 MILLION. 03:18PM 23 THE COURT: OKAY. 03:19PM 24 MR. VAN NEST: IT'S ANOTHER TO RISK 324 MILLION. 03:19PM 25 THAT'S A MUCH BIGGER RISK, RIGHT? I MEAN, JUST FROM THEIR UNITED STATES COURT REPORTERS

73 03:19PM 1 STANDPOINT OF COMPENSATING THE CLASS -- 03:19PM 2 THE COURT: OKAY. 03:19PM 3 MR. VAN NEST: -- IT'S ONE THING TO SAY, "OKAY, I'M 03:19PM 4 GOING TO FORGO 20 MILLION AND TAKE MY SHOT." 03:19PM 5 IT'S QUITE ANOTHER THING TO SAY, "I'LL FORGO 324 MILLION 03:19PM 6 AND TAKE MY SHOT." I MEAN, THAT IS A VASTLY DIFFERENT 03:19PM 7 QUESTION. 03:19PM 8 AND, YES, THE EVIDENCE IS DIFFERENT IN THE TWO CASES AND, 03:19PM 9 YES, WE CAN ALL DISAGREE ABOUT WHAT IT MEANS. 03:19PM 10 BUT ULTIMATELY NONE OF THAT MATTERS BECAUSE IT'S A HUGE 03:19PM 11 RISK, ONE WAY OR THE OTHER, THAT THE JURY SEES IT YOUR WAY, AND 03:19PM 12 IF THEY DON'T, YOU HAVE SQUANDERED \$324 MILLION, WHICH IS NOW A 03:19PM 13 SURE THING, YOU KNOW, IF THE SETTLEMENT WERE TO BE APPROVED. 03:19PM 14 SO I DON'T -- I DON'T, FOR ONE MINUTE, THINK THE 03:19PM 15 DIFFERENCE BETWEEN 400 AND 324 IS MEANINGFUL, I DON'T, BECAUSE 03:19PM 16 THIS IS ALL WITHIN THE RANGE OF JUDGMENT. 03:19PM 17 YOU CAN'T JUST TAKE A RULER AND MULTIPLY IT OUT AND SAY 03:19PM 18 YOU'RE FALLING SHORT. 03:19PM 19 AND EVEN IF YOU DID THAT, IF YOU USE MY RULER, WE'RE 03:19PM 20 PAYING A PREMIUM. IF YOU USE THEIR RULER, WE'RE PAYING LESS. 03:20PM 21 BUT IT'S ALL WITHIN THE RANGE OF A REASONABLE RECOVERY FOR 03:20PM 22 THE CLASS IN LIGHT OF ALL OF THE VARIOUS RISKS. THAT'S WHAT IT 03:20PM 23 IS. 03:20PM 24 SO I DON'T THINK YOU WOULD REACH A DIFFERENT RESULT EVEN 03:20PM 25 IF YOU SAID, "I THINK THE FAIR WAY TO LOOK AT IT IS BASED ON UNITED STATES COURT REPORTERS	75 03:21PM 1 MS. DERMODY: NO. IT'S US SAYING TO YOUR HONOR, WE 03:21PM 2 HAVE BEEN DRIVING THIS TRAIN AND WE RAN INTO JURY WORK, AND WE 03:21PM 3 HAVE BEEN SOBERED BY DOING THAT WORK AND BY LEARNING HOW 03:21PM 4 DIFFICULT IT IS TO CONVINCE A UNANIMOUS ROOM OF PEOPLE, EVEN 03:21PM 5 WITH THIS EVIDENCE, TO MEET THE STANDARD IN THIS CASE. 03:21PM 6 AND SO WHAT -- COULD WE HAVE DONE IT? IS IT POSSIBLE? 03:21PM 7 THE COURT: WERE YOU DOING RULE OF REASON OR WERE YOU 03:21PM 8 DOING PER SE IN YOUR JURY STUDIES? 03:22PM 9 MS. DERMODY: WE WERE DOING EVERYTHING IN THE MOST 03:22PM 10 FAVORABLE WAY TO US, INCLUDING THINGS LIKE TELLING THE JURY 03:22PM 11 ABOUT THE D.O.J. INVESTIGATION. 03:22PM 12 I MEAN, YOUR HONOR, I JUST -- YOU KNOW, THE RISK THAT -- 03:22PM 13 THE COURT: I WOULD HAVE ALLOWED THAT PROBABLY. 03:22PM 14 PROBABLY. 03:22PM 15 MS. DERMODY: WELL, AT THE RISK OF EXPOSING A LOT OF 03:22PM 16 WORK PRODUCT THAT WE WOULD NOT WANT THE DEFENDANTS TO HAVE IF 03:22PM 17 THE COURT WAS TO DENY OUR REQUEST TO APPROVE THE SETTLEMENT, I 03:22PM 18 DO WANT THE COURT TO UNDERSTAND THE AMOUNT OF CONCERN AND 03:22PM 19 EFFORT AND THE EMPIRICAL WORK WE DID TO GET TO A PLACE WHERE WE 03:22PM 20 RECOGNIZE THAT THAT RISK WAS NOT THEORETICAL, THAT IT WAS REAL, 03:22PM 21 AND WE HAD TO AT LEAST ACKNOWLEDGE IT. 03:22PM 22 THE COURT: OKAY. ALL RIGHT. THANK YOU ALL VERY 03:22PM 23 MUCH. 03:22PM 24 MR. VAN NEST: THANK YOU, YOUR HONOR. 03:22PM 25 THE COURT: LET'S TAKE A BREAK BEFORE THE LAST CASE. UNITED STATES COURT REPORTERS
74 03:20PM 1 PAY, 5 PERCENT." 03:20PM 2 I STILL THINK THIS IS EASILY WITHIN THE RANGE OF A 03:20PM 3 REASONABLE RESULT GIVEN EVERYTHING WE'VE TALKED ABOUT. 03:20PM 4 YOUR HONOR AND I COULD DEBATE ALL DAY HOW THE EVIDENCE 03:20PM 5 COMES OUT, BUT YOU AND I BOTH KNOW, IT'S THE JURY THAT DECIDES, 03:20PM 6 AND THAT'S VERY HARD TO PREDICT, VERY HARD TO PREDICT. 03:20PM 7 AND I WOULDN'T, IN A MILLION YEARS, IF I WERE IN THEIR 03:20PM 8 SHOES, RISK \$324 MILLION ON WHAT I THOUGHT A JURY OF EIGHT 03:20PM 9 PEOPLE WAS GOING TO DO IN A CASE LIKE THIS WITH SO MUCH 03:20PM 10 DISPARATE EVIDENCE AND SO MANY DIFFERENT FACETS. 03:20PM 11 THAT'S, I THINK, THE KEY TAKE AWAY. IT'S A MUCH, MUCH 03:20PM 12 BIGGER RISK FOR THE CLASS. 03:20PM 13 MY ONLY OTHER COMMENT IS I DON'T THINK WE SHOULD BE 03:20PM 14 GETTING INTO PUTTING NUMBERS INTO THE NOTICE OF WHAT THE CLASS 03:21PM 15 COULD HAVE WON, I MEAN, BECAUSE THAT IS SO SPECULATIVE. 03:21PM 16 THE COURT: I'M NOT GOING TO DO THAT. 03:21PM 17 MR. VAN NEST: YEAH. THANK YOU. 03:21PM 18 THE COURT: ALL RIGHT. 03:21PM 19 OKAY. DO YOU WANT TO HAVE THE LAST WORD? 03:21PM 20 MS. DERMODY: I JUST WANT TO MAKE IT CLEAR ON THE 03:21PM 21 RECORD, YOUR HONOR, THAT EVERYTHING I'VE BEEN TALKING ABOUT 03:21PM 22 TODAY IS ABOUT RISK ASSESSMENT AND IT'S NOT ABOUT THE 03:21PM 23 PLAINTIFFS' FEELING ABOUT THE CASE BEING A WEAK CASE OR TRYING 03:21PM 24 TO TELL YOUR HONOR THIS WAS A DOG AND ALL OF THAT. 03:21PM 25 THE COURT: AND WHY WE WASTED YEARS ON THIS CASE. UNITED STATES COURT REPORTERS	76 03:22PM 1 THANK YOU FOR YOUR PATIENCE FOR THE LAST CASE. 03:22PM 2 MS. DERMODY: THANK YOU, YOUR HONOR. 03:22PM 3 (THE PROCEEDINGS WERE CONCLUDED AT 3:22 P.M.) 4 5 6 7 8 9 10 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25 UNITED STATES COURT REPORTERS

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CERTIFICATE OF REPORTER

I, THE UNDERSIGNED OFFICIAL COURT REPORTER OF THE UNITED STATES DISTRICT COURT FOR THE NORTHERN DISTRICT OF CALIFORNIA, 280 SOUTH FIRST STREET, SAN JOSE, CALIFORNIA, DO HEREBY CERTIFY:

THAT THE FOREGOING TRANSCRIPT, CERTIFICATE INCLUSIVE, IS A CORRECT TRANSCRIPT FROM THE RECORD OF PROCEEDINGS IN THE ABOVE-ENTITLED MATTER.

LEE-ANNE SHORTRIDGE, CSR, CRR
CERTIFICATE NUMBER 9595

DATED: JUNE 24, 2014

UNITED STATES COURT REPORTERS